Public Financial Management in Nepal

(including Nepal Public Sector Accounting Standard 2021)

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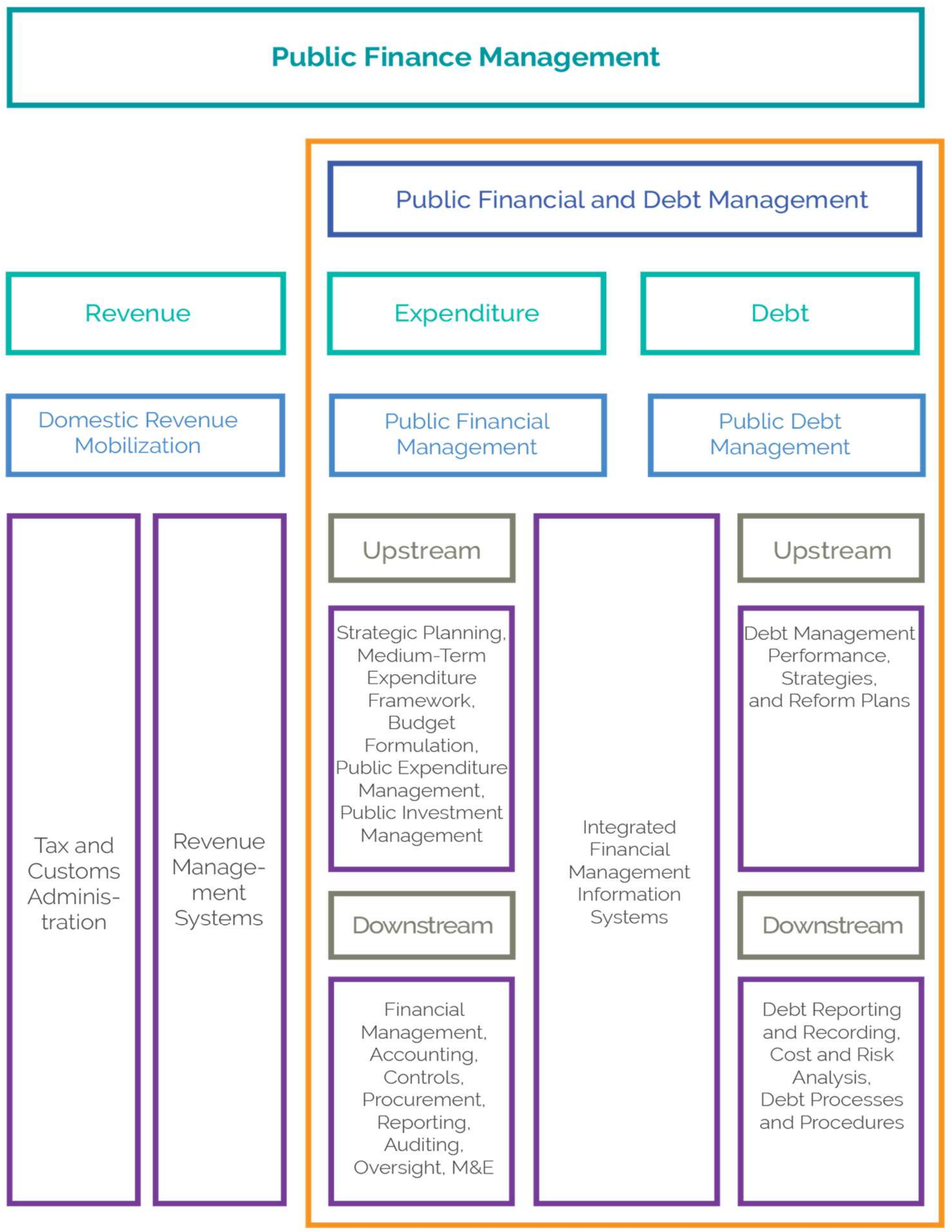
Contents

1. Public Financial Management (PFM)

PFM is an umbrella concept that, for the purposes of this evaluation, includes public expenditure management, which in turn includes public sector accounting, support for integrated financial management information systems, and public investment management. PFM refers to the areas of **budget formulation, planning, and execution (including predictability and control); public sector accounting; institutional accountability and transparency; external oversight of public finances; and systems and processes to enhance the efficiency and integrity of public spending and investment**

Elements of Public Finance Management



2. Budgetary System & PFM in Nepal

In Nepal, the Council of Ministers holds executive power according to the Constitution. The Prime Minister is responsible for driving the national plan, the sectoral policies, and the laws through various sectoral line ministries. The National Planning Commission (NPC) is the main agency for national-level plans, policies, and programs, including monitoring and evaluation (M&E). The NPC oversees the implementation of the federal, provincial, and local-level governments' three-year work programs, and it also coordinates strategic planning.

To guide and regularize the overall PFM functions, Nepal has enacted the Financial Procedure and Fiscal Accountability (FPFA) Act, 2019 and the FPFA Regulation, 2021. These legal provisions set and operationalize the PFM framework at the budgetary central government level. The Ministry of Finance (MoF) and the NPC coordinate functions for budget preparation and execution. The accounting, reporting, internal control, and internal audit functions rest with the Financial Comptroller General Office (FCGO).

The MoF is responsible for (a) formulation and monitoring of fiscal policy, (b) preparation and implementation of the budget in coordination with the NPC, (c) revenue policy implementation, and (d) revenue collection and administration through its departments. The Inland Revenue Department (IRD) and the Department of Customs (DOC) under the MoF are responsible for revenue collection and administration. The FCGO manages budget expenditure management, internal audit, and consolidated financial reporting. It is also responsible for developing internal control system directives as well as developing and operating information and communication technology (ICT)-based PFM systems.

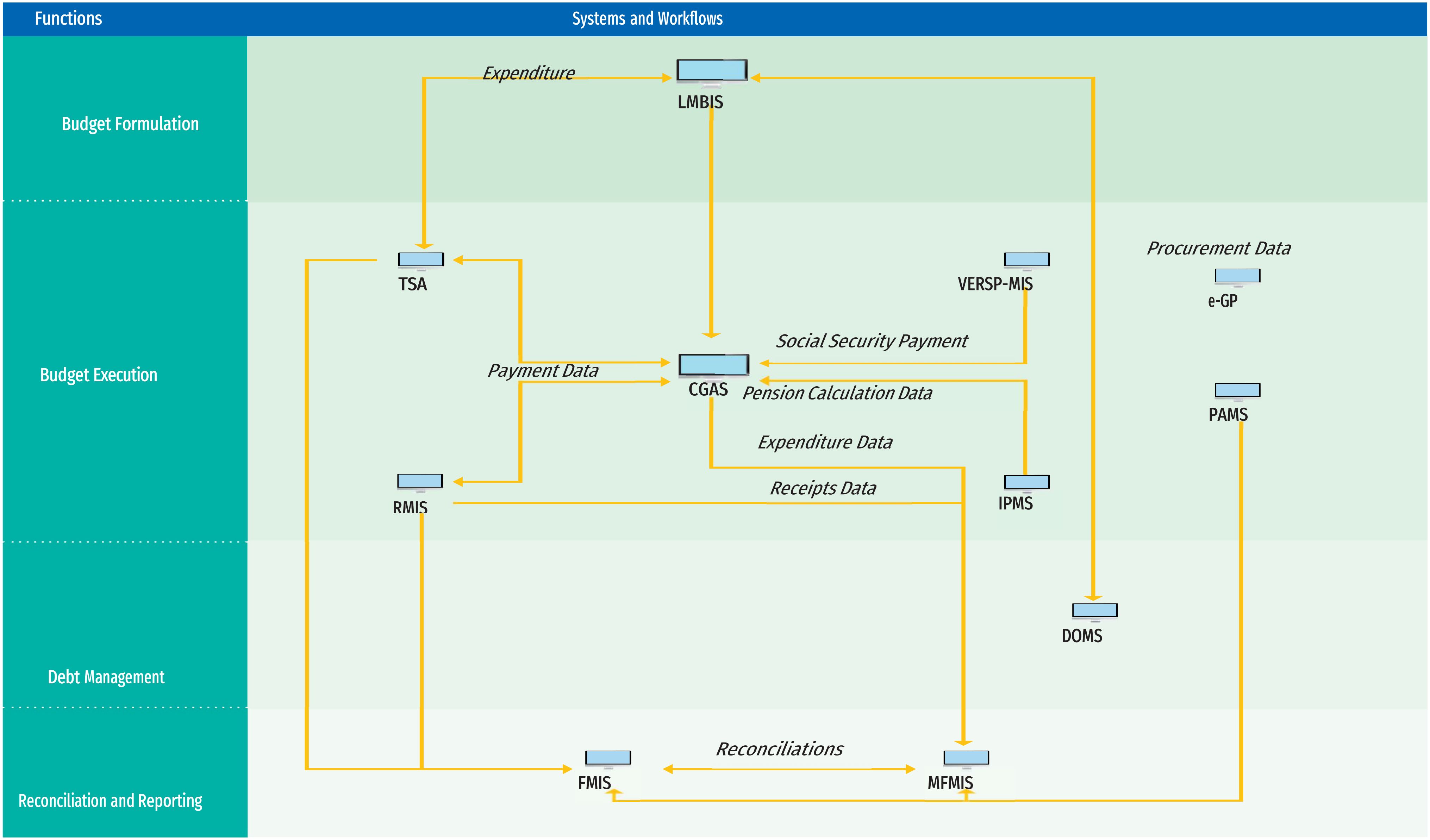
All the budgetary entities, including the ministries and departments, are responsible for delivering their financial plans (budgets and programs) to the MoF based on the provided ceilings. All government units use the Line Ministry Budget Information System (LMBIS) for the budget preparation. There are various ICT-based systems, such as the Treasury Single Accounts (TSAs), the Revenue Management Information System (RMIS), and the Computerized Government Accounting System (CGAS), that are used to operate PFM in Nepal. Beyond the MoF, the NPC, and the FCGO, the following agencies play key roles in PFM: the Parliament and its committees, the OAGN, the National Natural Resource and Fiscal Commission (NNRFC), and the Public Procurement Monitoring Office (PPMO).

To oversee procurement activities, the PPMO was established under Clause 64 of the Public Procurement Act (PPA) of 2007. The PPMO is responsible for ensuring competition, efficiency, and transparency in all public procurement activities. It conducts capacity-building activities, monitors and facilitates the procurement process, and issues standard bidding documents (SBDs) and other regulatory documents. Furthermore, the PPMO also manages the single Electronic Government Procurement (e-GP) portal.

The OAGN, a constitutional body, conducts audits and publishes annual reports with observations and suggestions about budget and program execution. The OAGN's remit covers all government organizations for the three tiers of government, including all other beneficiaries of public funds. The Constitution also provides for the functional independence of the audit. The Public Accounts Committee (PAC) of the Parliament scrutinizes the annual report submitted by the Auditor General (AG).

The NNRFC (National Natural Resources and Fiscal Commission) is a constitutional body established with the objective of ensuring the just and equitable distribution of natural and fiscal resources among the federal, provincial, and local governments. The commission determines the detailed basis and modality for the distribution of revenues. It also makes recommendations regarding the distribution of equalization grants. In addition, it prepares the parameters concerning the distribution of conditional grants and recommends the ceiling for internal borrowing and sharing of royalties from natural resources among the three spheres of governments.

GoN's PFM information system (Source PEFA Assessment Report 2024)



The Line Ministry Budget Information System (LMBIS) is used by all the line ministries and budgetary entities of the federal and provincial governments for budget formulation.

The Computerized Government Accounting System (CGAS) is used for accounting and expenditure management, with functionalities to generate payment orders.

The Treasury Single Account (TSA) is the budget control and release system used by the District Treasury Controller Offices (DTCOs)/Provincial Treasury Comptroller Office (PTCOs). The Electronic Fund Transfer (EFT) system is a sub-application within the TSA. It is interfaced with bank systems to send payment instructions to banks for payment releases.

The Revenue Management Information System (RMIS) is the system for the accounting of receipts. All the partner banks have been provided with the RMIS login to enable the creation of bank vouchers when any government revenues are deposited by a remitter.

The Financial Management Information System (FMIS) is the reporting application used by the DTCOs and the FCGOs for the preparation and reconciliation of monthly and annual financial statements.

The Ministerial Financial Management Information System (MFMIS) is the reporting application used by the ministries and departments for the preparation and reconciliation of monthly and annual financial statements.

The Debt Operations Management Systems (DOMS) is used for debt management functions, and it is operated by the Public Debt Management Office (PDMO).

The Public Asset Management System (PAMS) was developed by the FCGO to capture asset details in the country.

The Integrated Pension Management System (IPMS) is used for pension management, and monthly pension scrolls are generated and sent to bank branches handling pension payments.

The e-Government Procurement (e-GP) system is a web-based portal covering various activities of the public procurement life cycle.

Vital Event Registration and Social Protection Management Information System (VERSP- MIS) system is a web-based portal to register vital events of Nepali citizens, including social security beneficiaries.

Treasury Single Account

The Treasury Single Account (TSA) system is a unified structure of government bank accounts that gives a consolidated view of government cash resources. Based on the principle of unity of cash and the unity of treasury, a TSA is a bank account or a set of linked accounts through which the government transacts all its receipts and payments. The principle of unity follows from the fungibility of all cash irrespective of its end use. While it is necessary to distinguish individual cash transactions for control and reporting purposes, this purpose is achieved through the accounting system and not by holding/depositing cash in transaction specific bank accounts. This enables the treasury to delink management of cash from control at a transaction level

The primary objective of a TSA is to ensure effective aggregate control over government cash balances.

Benefits of TSA are

- Allows complete and timely information on government cash resources
- Improves appropriation control.
- Improves operational control during budget execution
- Enables efficient cash management
- Reduces bank fees and transaction costs
- Facilitates efficient payment mechanisms
- Improves bank reconciliation and quality of fiscal data
- Lowers liquidity reserve needs

<u>TSA in Nepal</u>

TSA is a system designed for disbursement/ release of budget through a treasury single account upon the request of paying offices to the concerned payee. It also records the receipt and payment of retention and other operational funds created out of the treasury. TSA also includes the revenue recording system in line with the revenue heads when it is received through the bank. The main benefit of this system is producing real time expenditure data and revenue receipt for all central budget operations on real time basis. It has reduced number of banks accounts in each district. A module of Electronic Fund Transfer to make expenditure payments directly to the payee's bank account has been developed.

In Nepal, the TSA has been rolled out in all 77 districts on timely manner, a process which takes several years in most countries. This means processing budget expenditures, which previously would take hours, even days, has now shortened to simply a few minutes.

Alongside improved management of idle cash balances, this complete rollout has helped centralize payments at DTCOs. Out of 14000 bank accounts, about 13,717 have been closed through the TSA intervention which has saved around USD 2 million for the government. *(World Bank)*

Since 2014, the GoN has used the TSA system, which employs a single bank account for all budget expenses. Under the TSA, zero-balance accounts have been created at authorized banks for 81 DTCOs to make payments. Each DTCO performs a ‘day close’ operation on a daily basis, and the NRB reimburses the banks for government payments. The TSA, a solid regulatory framework, and accounting and reporting information systems ensure reconciliations and financial data accuracy. The ‘day close’ system in the TSA is used for daily reconciling the expenditure amounts of the DTCO and the payments from the bank. Revenues collected in the core banking system are reconciled with the RMIS on a daily basis. Because of single accounts for making expenditures (TSA) and the integrated system of revenue collection (RMIS), the suspense accounts do not exist.

3. Main PFM Laws and Regulation

PFM area	Law/regulation	Brief description and coverage
All	▪ Constitution of Nepal ▪ Financial Procedure and Fiscal Accountability Act, 2019 ▪ Financial Procedure and Fiscal Accountability Regulation, 2021	The Constitution, the FPFA Act, and the FPFA Regulations provide comprehensive coverage of the management of public finances. The Constitution grants government the authority to raise revenue and incur debt while also mandating the submission of an annual budget to the Parliament. Additionally, it establishes guiding principles pertaining to accounting, auditing, internal controls, and legislative oversight. The FPFA Act and the FPFA Regulations provide a comprehensive framework for planning, budgeting, accounting, reporting, internal and external auditing, budget execution, and internal controls.
Planning	▪ The Five-Year Periodic Plan, currently the 16th Plan ▪ National Project Bank Guidelines, 2020 ▪ Standard for Project Development, Selection, and Prioritization, 2023	The five-year plan provides a framework for the country's socioeconomic development. It is a guiding document for sectoral strategies, the Sustainable Development Goals (SDGs), fiscal strategies, development programs and projects, resource mobilization, and the strategic allocation of available resources. The National Project Bank (NPB) Guidelines (2020) provide guidelines for identifying, appraising, selecting, and prioritizing developmental projects for inclusion in the NPB. The Standard for Project Development, Selection, and Prioritization (2023) details the guidelines for specific sectors and includes an economic analysis approach.
Budgeting	▪ Annual Appropriation Act ▪ Finance Act ▪ Public Debt Act, 2002 ▪ Public Debt Management Act, 2022 ▪ Budget Circular and Formulation Guidelines ▪ House of Representatives Regulations, 2018 (now repealed by Regulation of 2023) ▪ Operational Directives	The laws and regulations noted herewith cover budgeting aspects, including revenue estimation, expenditure ceilings, budget ceilings and guidance, budget proposals and discussions, budget appropriation, principles and priorities of budgets and programs, the Medium-Term Expenditure Framework (MTEF), the consolidated fund, asset and liability management, and the legislative scrutiny of budget. The 2018 regulations passed by the House of Representatives established a comprehensive framework for the examination of appropriation and finance bills as well as other bills pertaining to the budget. The Finance Committee of the House of Representatives holds jurisdiction over matters pertaining to the MoF, including budget.

PFM area	Law/regulation	Brief description and coverage
Accounting	■ Government Transaction Directives, 2019 ■ Government Accounting Manual (Office of the Auditor General [OAG] forms and formats), 2013 ■ Nepal Public Sector Accounting Standards (NPSAS)	These specify the policies and procedures for accounting and reporting of all BCG transactions from the consolidated fund using the cash basis of accounting.
Audit	■ The Audit Act, 2019 ■ Nepal Government Auditing Standards (NGAS)	The Constitution outlines the audit mandate and the procedures for the appointment and removal of the AG. The Audit Act, regulations, and standards cover matters related to audit planning, execution, reporting, and follow-up.
Public participation	■ Citizen Engagement Strategy ■ Participatory Audit Guidelines	The government has drafted a Citizen Engagement Strategy to enhance public participation to facilitate better fiscal transparency and effective accountability. The OAGN has issued guidelines to facilitate citizen engagement in external audits.

3.1 Constitution of Nepal

There are three types of government funds in the Constitution of Nepal

	Federal Consolidated Fund *(Sanghiya Sanchit Kosh)*	State Consolidated Fund (Pradesh Sanchit Kosh)	Local Consolidated Fund (Sthaniya Sanchit Kosh)
Meaning	Except for the revenues of trusts (Guthi), all revenues received by the Government of Nepal, all loans raised on the security of revenues, all amounts received in repayment of any loans made under the authority of any Act and any other moneys received by the Government of Nepal shall, except as otherwise provided by a Federal Act, be credited to a Government Fund to be known as the Federal Consolidated Fund.	Except for the revenues of trusts (Guthi), all revenues received by the State Government, all loans raised on the security of revenues, all moneys received in repayment of any loans made under the authority of any State Act and any mounts of grants or loans received from the Government of Nepal shall, except as otherwise provided for in the State Act, be credited to a State Government Fund to be known as the State Consolidated Fund.	Each Village Body and Municipality under the Local Level shall have one Local Consolidate Fund. All revenues received by the Village Body or Municipality, any amounts of grants received from the Government of Nepal and the State Government, all loans raised by the Village Body and Municipality, and amounts received from other sources shall be credited to such a Fund.
Annual Budget (Estimate of revenue and expenditure)	1) The Minister for Finance of the Government of Nepal shall, in respect of every financial year, lay before the joint sitting of both Houses of the Federal Parliament an annual estimate setting	The State Minister for Finance shall, in respect of every financial year, lay before the State Assembly an annual estimate setting out matters such as an estimate of revenues, the moneys required to meet the charges on the State Consolidated Fund, and the moneys required to meet the	The Village Executive and the Municipal Executive shall, subject to this Constitution, lay an estimate of revenues and expenditures of every financial year before, and have the estimate passed by, the Village Assembly and the Municipal Assembly,

	out, inter alia, the following matters: • an estimate of revenues, • the moneys required to meet the charges on the Federal Consolidated Fund, and • the moneys required to meet the expenditure to be provided for by a Federal Appropriation Act. 2) The annual estimate to be laid pursuant to clause (1) shall also be accompanied by a statement of the expenses allocated to every Ministry in the previous financial year and particulars of whether the objectives of the expenses have been achieved. 3) The Minister for Finance of the Government of Nepal shall lay before the Federal Parliament an estimate of revenues and expenditures under clause (1) on the ***15th day of Jesta (mid May) each year.***	expenditure to be provided for by a State Appropriation Act.	respectively, as provided for in the Local law
Requirement of Appropriation Act to spend money	Federal Appropriation Act	State Appropriation Act	--

3.2 Appropriation Act

The moneys to be spent under an Appropriation Act shall be specified under concerned heads in an Appropriation Bill. For example to spend the budget for FY 2082-83, Appropriation Act 2082 is passed.

<u>आर्थिक वर्ष २०८२/८३ को सेवा र कार्यको लागि सङ्घीय सञ्चित कोषबाट रकम विनियोजन र खर्च गर्ने सम्बन्धमा व्यवस्था गर्न बनेको विधेयक</u>

<u>प्रस्तावना:</u> आर्थिक वर्ष २०८२/८३ को सेवा र कार्यको लागि सङ्घीय सञ्चित कोषबाट व्यय हुने रकम विनियोजन गर्ने र खर्च गर्ने अधिकार दिन वाञ्छनीय भएकोले,

सङ्घीय संसद्ले यो ऐन बनाएको छ।

१. **<u>संक्षिप्त नाम र प्रारम्भ:</u>** (१) यस ऐनको नाम "विनियोजन ऐन, २०८२" रहेको छ।

(२) यो ऐन संवत् २०८२ साल साउन १ गतेदेखि प्रारम्भ हुनेछ।

२. **<u>आर्थिक वर्ष २०८२/८३ को लागि सङ्घीय सञ्चित कोषबाट खर्च गर्ने अधिकार:</u>** आर्थिक वर्ष २०८२/८३ को लागि अनुसूची-१ बमोजिम सङ्घीय सञ्चित कोषमाथि व्ययभार हुने रकम बाहेक अनुसूची-२ को महल ३ मा उल्लिखित निकायले गर्ने सेवा र कार्यका लागि सोही अनुसूचीको महल ४ मा उल्लिखित चालु खर्च, महल ५ मा उल्लिखित पुँजीगत खर्च र महल ६ मा उल्लिखित वित्तीय व्यवस्थाको रकम समेत गरी महल ७ मा उल्लिखित जम्मा रकम रु.१५,५२,६७,९४,००,०००।-

(अक्षरेपी १५ खर्ब ५२ अर्ब ६७ करोड ९४ लाख) मा नबढाई निर्दिष्ट गरिए बमोजिम सङ्घीय सञ्चित कोषबाट खर्च गर्न सकिनेछ।

Federal Appropriation Act contains the details of budget allocated to various Ministries, constitutional bodies (CIAA, NHRC etc), Local Government, Province Government. For FY 2082/83 Total budget is 1964.11 B. Out of which 411.43B is for the expense permitted directly by Article 118 of Constitution whereas NPR 1552.67B is through the appropriation bill.

As per Par 115 of Constitution of Nepal,

<u>Federal Consolidated Fund (Sanghiya Sanchit Kosh)</u>: Except for the revenues of trusts (Guthi), all revenues received by the Government of Nepal, all loans raised on the security of revenues, all amounts received in repayment of any loans made under the authority of any Act and any other moneys received by the Government of Nepal shall, except as otherwise provided by a Federal Act, be credited to a Government Fund to be known as the Federal Consolidated Fund.

3.3 Financial Procedure and Fiscal Accountability Act 2076

(आर्थिक कार्यविधि तथा वित्तीय उत्तरदायित्व ऐन, २०७६)

- Audit is done by the Office of Auditor General pursuant to Section 241 of the Constitution
- Internal Audit is done by the FCGO or DTCO as appointed by the FCGO.
- Fiscal year starts from 1 Shrawan and ends on Ashad of next year.
- It shall be responsibility of FCGO to prepare consolidated financial statements as per applicable accounting standard for the Federal Consolidated Fund, State Consolidated Fund and Local Consolidated Fund. Further, Federation, State and Local Bodies are also required to prepare financial statements based on applicable accounting standard.

Budget Process

- Each ministry is required to send the projected expenditure within 3 years on various medium term projects to National Planning Commission. National Planning Commission in coordination with the Ministry of Finance shall estimate the medium term expenditure and source of fund within the Magh end of current year. In this regard, Vice Chairman of NPC shall form a National Resource Estimation Committee (Rastriya Shrot Anuman Samiti) which shall estimate the source for Federal, State and Local levels. Resource Estimation Committee (Shrot Anuman Samiti) shall submit the report to finance minister within 7th Falgun each year. Accordingly, based on the report of Resource Estimation Committee (Shrot Anuman Samiti) and Mid Term Expenditure Framework, National Planning Commission shall submit the details of budget to the Finance Minister by 7th of Falgun each year. Ministry of Finance shall now share the budget guideline to the respective ministries, constitutional bodies etc.
- Next respective ministries should prepare the budget and plan and programs and enter in the LMBIS and send the same to NPC and Ministry of Finance.
- National Planning Commission will now discuss on the various plan and programs received from the respective ministries for various matters such as feasibility report, environmental impact assessment, detailed project report, norms, drawings and design, land acquisition, time schedule, return on project etc
- At least 15 days before presenting the Appropriation Bill in the Federal Parliament, Finance Minister should present the plan and program and budget priority to the parliament and parliament may provide feedback to the finance ministry within 7 days.
- Each year FCGO should furnish the consolidated financials to the OAG.
- Audit is conducted by the OAG and any discrepancies is discussed annually in the Public Accounts Committee (Sarbajanik Lekha Samiti) of House of representative. Once the report is presented in the house of representative and any suggestions is approved by parliament, then its implementation is done by OAG.

4. Structure of Public Sector (No. of entities)

	Government subsector	
	Budgetary unit	**Extra- budgetary units**
Ministries	24	135*
Constitutional bodies	6	
Other commissions (Identity Based)	7	
Departments under ministries	28	
Ministries	69	
Wards	6,743	
Metropolitan cities, sub- metropolitan cities, and municipalities	293 (6 Metro, 11 Sub Metro and 276 Municipalities)	
Districts	77	

Extra Budgetary Unit means various hospital, universities, trusts etc under Nepal Government.

Main Constitutional Bodies are Commission for the Investigation of Abuse of Authority (CIAA) **,** Election Commission, Public Service Commission (PSC)**,** Office of the Auditor General**,** National Human Rights Commission (NHRC), National Natural Resources and Fiscal Commission (NNRFC)

Other Constitutional Commissions are National Women Commission, National Dalit Commission, National Inclusion Commission, Indigenous Nationalities Commission, Madhesi Commission ,Tharu Commission Muslim Commission

5. Various agency / institutions in budgetary system in Nepal

<table>
<tr>
<td>Financial Comptroller General Office (FCGO)
(महालेखा नियन्त्रक कार्यालय)

Government of Nepal
Ministry of Finance
Financial Comptroller General Office (FCGO)</td>
<td>Financial Comptroller General Office (FCGO) is the main government agency responsible for the treasury operation of Government of Nepal. This office is under the Ministry of Finance and is headed by Financial Comptroller General

It's responsibility includes

overseeing all government expenditure against budget,
tracking revenue collection and other receipts and
preparation of consolidated financial statements of the government.
ensuring maintenance of basic accounts keeping of the government
conducting of the internal audit of revenue and expenditure of the government.
ensure timely repayment of internal and external debts,
investing in the loan and equity of public enterprises and
maintaining the records related to these financial transactions.
manage the distribution of pension to retired government employees

The organizational set up of FCGO consists of 3 divisions and 15 sections.
Offices under FCGO are as follows:

District Treasury Controller Office
Pension Management Office
Kumari Chowk & Central Arrears Office

<table><tr><td>Kumari Chowk and Central Arrears Office's responsibility as per Financial Procedure and Fiscal Accountability Act 2076 is to recover the dues from the concerned individual / offices which owe money to the Nepal Government. It could be for example, breach of contract by some company, misappropriation of government properties/assets by some individual etc.</td></tr></table>

Organization Structure
The field level offices under FCGO are spread all over 77 districts of the country. In each district there is a District Treasury Controller Office (DTCO) which is involved in releasing budgets to government offices, budgetory controls and reporting that of. One Pension Office under the FCGO manages the distribution of pension of retired civil servants. Government Dues Recovery Office under the FCGO is responsible for the recovery of government dues.</td>
</tr>
<tr>
<td>District Treasury Controller Office
कोष तथा लेखा नियन्त्रक कार्यालय (कोलेनिका)

Government of Nepal
Ministry of Fianance
Financial Comptroller General Office
District Treasury Controller Office</td>
<td>The District Treasury Controller Office (DTCO) in Nepal is a decentralized arm of the Financial Comptroller General Office (FCGO), operating under the Ministry of Finance. Each district has a DTCO, and its main function is to manage government treasury operations at the district level.

Supervision and Inspection of Financial Transactions

Act as a representative of the Office of the Financial Comptroller General to supervise and inspect the financial transactions of district-level offices. Provide advice and suggestions to those offices in accordance with the policies and directives of the FCGO and prevailing laws.

Maintain Office Registry

Prepare a registry of the offices conducting financial transactions within the jurisdiction. Assign office codes in consultation with the FCGO and keep the records updated.

Budget Execution and Expenditure Authorization</td>
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Authorizes budget expenditure for government offices and agencies within the district.
Ensures that spending is within the approved budget and adheres to government financial regulations

Treasury Operations

Manages the release and disbursement of funds through the Treasury Single Account (TSA) system.
Ensures that payments are processed accurately and on time, including salaries, pensions, procurement, and program expenses.
Disburse funds according to the authority and budget distribution given to the office, maintain office-wise and consolidated accounts, verify disbursed amounts through banks, and submit the details to the FCGO.

Accounting and Bookkeeping

Maintains district-level government accounting records.
Records all government financial transactions (income and expenditure).
Uses systems like CGAS (Computerized Government Accounting System) or SuTRA (for subnational governments).
Collect details of allocated funds, revenues, and deposit incomes and expenditures from the offices, prepare a report, and submit it to the FCGO.

Financial Reporting

Prepares and submits monthly, quarterly, and annual financial reports to the FCGO.
Helps compile the district-level financial statements that feed into national accounts.

Payroll and Pension Management

Processes and disburses salaries and pensions for civil servants in the district.
Maintains employee records and ensures timely payment.

Internal Audit

Where internal audits are mandated by the FCGO, prevailing laws, or Government of Nepal decisions, ensure the internal audit of the revenue, allocations, deposits, inventories, and operational funds of the concerned central agencies in accordance with the law.
Ensures that all expenditures are made in accordance with the:

Financial Procedures and Fiscal Accountability Act
Budget rules and regulations
Internal control procedures

Prevents misuse or irregularities in public spending.

</td></tr>
<tr><td>Province Treasury Controller Office (PCTO)</td><td>It manages State Consolidated Fund (Pradesh Sanchit Kosh), financial administration of respective province, maintain books of province, conduct internal audit and provide consolidated financial statement to the FCGO and Office of Auditor General.</td></tr>
<tr><td>National Planning Commission</td><td>The National Planning Commission (NPC) is the specialized and apex advisory body of the Government of Nepal for formulating a national vision, development policy, periodic plans and sectoral policies for overall development of the nation. It is headed by the Right Honorable Prime Minister. The NPC assesses resource needs, identifies sources of funding, and allocates budget for socio-economic development. It serves as a central agency for monitoring and evaluating development policy, plans and programs. The NPC also serves as an intellectual hub for the exchange of new development ideas and proposals from scholars, private sector, civil society, and development partners.
At present, the NPC has one full-time Vice-Chairman, six members, and one Member-Secretary who also heads a fully staffed secretariat. The Chief-Secretary</td></tr>
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	and the Finance Secretary are ex-officio members of the Commission. The national statistical council is chaired by vice-Chairman of National Planning Commission. The Commission consists of seven functional divisions each headed by a Joint-Secretary: i) Economic Management; ii) Infrastructure and Production; iii) Monitoring and Evaluation; iv) Research and Inter-Governmental Coordination v) Sustainable Development and International Relation, vi) Social Development and vii) Administration. Each division is further divided into Sections headed by an Under-Secretary. मध्यमकालीन खर्च संरचना (आर्थिक वर्ष २०८२/८३ - २०८४/८५) तथा वार्षिक विकास कार्यक्रम (आर्थिक वर्ष २०८२/८३)
Office of Auditor General	As per Article 240 of the Constitution, the President shall, on the recommendation of the Constitutional Council, appoint the Auditor General. The term of office of the Auditor General shall be six years from the date of appointment. As per Article 241 of the Constitution, The accounts of all Federal and State Government Offices including the Office of the President, Office of the Vice-President, Supreme Court, Federal Parliament, State Assembly, State Government, Local level, Constitutional Bodies and Offices thereof, Courts, Office of the Attorney General, Nepal Army, Nepal Police and Armed Police Force, Nepal shall be audited by the Auditor-General in accordance with law, having regard to, inter alia, the regularity, economy, efficiency, effectiveness and the propriety thereof. The Auditor General shall be consulted in the matter of appointment of an auditor to carry out the audit of a corporate body of which the Government of Nepal or State Government owns more than fifty percent of the shares or assets. The Auditor General may also issue necessary directives setting forth the principles for carrying out the audit of such corporate body. As per Article 294, Every Constitutional Body under this Constitution shall submit an annual report of its functioning to the President, and the President shall cause that report to be laid through the Prime Minister before the Federal Parliament. One of the primary functions of the PAC is to review audit findings and hold public officials accountable for any discrepancies, inefficiencies, or instances of mismanagement identified by the OAG. The committee conducts hearings, calls witnesses, and demands explanations from government representatives to ensure that public resources are used effectively and in accordance with legal and regulatory frameworks. This process not only helps in rectifying identified issues but also deters future financial mismanagement. Objectives and policies of the Office of the Auditor General are: • To promote public accountability and transparency; • To bring forth economy in the mobilization of public resources and enhance efficiency; • To enhance effectiveness of public entities; • To improve and assure clean practices in the working system of administrative, financial and managerial system; • To assist in compliance of the existing laws; • To encourage abandonment of the discretionary work-style; • To recommend practical suggestions for improvement by identifying weaknesses and lacunae in the existing approaches, processes, practices and legal provisions and

	• To encourage the practice of taking actions against delinquents and rewarding the excellent performers.
Public Procurement Monitoring Office (PPMO) (सार्वजनिक खरिद अनुगमन कार्यालय)	Public Procurement Monitoring Office (PPMO) was established as per the provision made in the new Public Procurement law of Nepal. The Public Procurement Act, 2063 (B.S.) and Public Procurement Regulation, 2064 (B.S.) have been enforced on 2063/09/30 (B.S.) and 2064/5/03 (B.S.) respectively. PPMO was established as the government agency on 2064/5/3 (B.S.) and is placed directly under the prime minister and reports directly to the Prime Minister. The main functions of the PPMO is to prepare public procurement policy and recommend measures of implementation to the government for improvement and proper functioning of the public procurement system and monitor the functions of public procurement. It has established and maintained websites/portals dedicated to overall public procurement management of the GoN. It is also functioning as a secretariat of the Procurement Review Committee (PRC). PPMO present an annual report to GoN reporting on the overall functioning of public procurement system.
Public Accounts Committee (PAC)	At present, **Article 97** of the **Constitution of Nepal** and **Rule 172** of the **House of the Representatives Rules, 2018,** have provided for 10 thematic committees. Out of these thematic committees, Public Account Committee is also one important committee. Public Accounts Committee comprises of not more than 27 members nominated by the Speaker with approval of the House. The Prime minister is *ex-officio* member of the committee and the person elected by members of the committee from among themselves becomes the chairperson of the committee. In cases where the election of the chairperson is not held or the office of chairperson is vacant, the eldest member presides over the meeting of the committee and ministers are ineligible to be the chairperson of the committee and to preside over the meeting . **Jurisdiction of Public Accounts Committee (PAC) is** Public account Auditor general's annual report . **Functions, duties and powers of public account committee :** As provided for in rule 175 of the House of the Representatives Rules, 2018, the functions, duties and powers of the public account committee are as follows:- • to give necessary directives to the concerned bodies by evaluating the policy and program, resource mobilization, management, and other similar activities relating to the public account of the ministries, departments and the bodies there under falling under the jurisdiction of the committee and to present an annual report together with proper comments, recommendations and directives to the sitting, • to give necessary directives, after examining the estimates relating to revenue and expenditure of the ministries, departments and the bodies there under falling under the jurisdiction of the committee, to the concerned bodies on the method of preparing the annual estimates, alternate policy that could be pursued instead of the policy underlying in the annual estimates and to what extent economy can be effected in the amount of annual estimates; and to present annual report together with its opinions to the sitting, • to give necessary directives to the concerned bodies after studying the measures taken by the Government of Nepal in order to fulfill the assurances given from time to time by the ministers on behalf of the Government to the sitting on matters relating to public account, and to

	present a report to the sitting, • to give necessary directives after studying, monitoring and evaluating whether or not a government body's public property related to the public account and auditor general's annual report is embezzled and to present a report to the sitting , • to give necessary directives to the concerned bodies after evaluating a matter whether or not the rules made under delegated authority are made in consistent with the Constitution, concerned Act , prevailing laws and whether or not the government has carried out work according to the prevailing Act, Rules , • to give necessary opinions, suggestion, and directives to the concerned body after monitoring the execution of the reports submitted by investigation commissions/committees and inquiry commissions/committees to be formed by the government from time to time, • to monitor and evaluate the works discharged by the ministries, departments and other bodies and give necessary directives as that regards , • to carry out such other functions as assigned by the sitting, • to operate its programs subject to the budget and programs approved by the Speaker on the recommendation of the committee, • in the course of the performance of its function, the public account committee may have discussion with the representatives of the concerned ministries and departments, commission and bodies and, if necessary, also with the experts on the concerned subjects, • in the course of discharging responsibilities relating to the public account and auditor general's annual report and the public account committee in a well-ordered way, the public account committee may frame and execute necessary procedures, and work plan and work schedule, • The public account committee may give necessary directives after examining arrears amount stated in the annual report of the Auditor General presented to the House of the Representatives and after studying as s • regards whether or not the work and activities carried out by the Auditor General and also the work and activities to be carried out by the concerned bodies in relation thereto are carried out in a lawful and justifiable manner, • members of the committee may, with prior approval of the Speaker, visit necessary places in the course of performing the functions of the committee . In seeking such approval, the reasons for such visit shall be clearly disclosed, • the annual reports to be presented by the committee to the sitting under this rule shall be presented before the introduction of the annual estimates, and other reports may be presented at any time.

6. Public Expenditure and Financial Accountability (PEFA)

Internationally, the Public Expenditure and Financial Accountability (PEFA) program was initiated in 2001 by seven international development partners: The European Commission, International Monetary Fund, World Bank, and the governments of France, Norway, Switzerland, and the United Kingdom. PEFA began as a means to harmonize assessment of PFM across the partner organizations. It subsequently established a standard methodology for PFM diagnostic assessments, the PEFA framework. Since 2001 PEFA has become the acknowledged standard for PFM assessments.

PEFA is a methodology for assessing public financial management performance. It identifies 94 characteristics (dimensions) across 31 key components of public financial management (indicators) in 7 broad areas of activity (pillars).

PEFA began in 2001 as a means to harmonize country level assessment of public financial management (PFM) across the organizations that established the program. Those organizations were the European Commission, International Monetary Fund, World Bank, and the governments of France, Norway, Switzerland, and the United Kingdom. They remain the custodians of the program and have supported PEFA through four phases of implementation.

PEFA Assessment

GRPFM
(Gender Responsive Public Financial management)

CRPFM
(Climate Responsive Public Financial management)

7. PEFA Secretariat in Nepal

The Public Expenditure & Financial Accountability (PEFA) Secretariat has been established in 2008 to facilitate Public Financial Management (PFM) activities of the Government of Nepal. The Secretariat operates under the Ministry of Finance and is guided by the PFM Reform Steering Committee, chaired by the Secretary of Finance. It conducts periodic PEFA Assessments and initiates efforts to reform PFM policies, plans, and programs. Additionally, the Secretariat organizes seminars and workshops on various themes related to PFM reform, coordinating review meetings. It serves as a liaison with development partners, acting as a focal point for PFM-related activities in Nepal.

The PEFA Secretariat provides Technical Assistance and support to line ministries and departments for the implementation of PFM activities. It collects information on progress from federal governments agencies and subnational governments regarding program outcomes. The Secretariat produces both periodic and annual progress reports.

8. 7 Pillars of PEFA (31 Indicators)

There has been three PEFA Assessments in the past for Nepal. One in 2008, another in 2015 and latest one in 2024. Latest assessment is based on the 2016 Framework for PEFA Assessment. The Public Expenditure and Financial Accountability (PEFA) Assessment for the Government of Nepal (GoN) was conducted using the PEFA Framework of 2016 (2016 Public Expenditure and Financial Accountability (PEFA) assessment methodology). It reviews the seven critical pillars of performance using a set of 31 performance indicators (PIs) and associated dimensions. The assessment covered all seven PEFA Pillars

Budget Reliability	Aggregate expenditure outturn Expenditure Composition Outturn Revenue Outturn
Transparency of Public Finances	Budget Classification Budget Documentation Central Government operations outside financial reports

	Transfer to subnational governments Performance information for service delivery Public Access to Financial Information
Management of Assets & Liabilities	Financial Risk Reporting Public Investment Management Public Assets Management Debt Management
Policy Based Fiscal Strategy and Budgeting	Macroeconomic and fiscal forecasting Fiscal Strategy Medium Term perspective in expenditure budgeting Budget preparation process Legislative scrutiny of budget
Predictability and Control in Budget Execution	Revenue Administration Accounting for Revenue Predictability of in-year resource allocation Expenditure arrears Payroll controls Procurement Internal Controls on non-salary expenditure Internal Audit
Accounting and Reporting	In-year budget reports Annual Financial Reports External Audit Legislative Scrutiny of audit report

9. Nepal's PEFA Performance Assessment Report of 2024 (As of 2022) issued by MoF

Third assessment of PFM in Nepal was done up to December 2022 and the report was issued in 2024.

The Government of Nepal (GoN) completed this self-assessment with the technical assistance of the World Bank. The Nepal Public Financial Management Multi-Donor Trust Fund (MDTF) financed the assessment. In addition to this main Public Expenditure and Financial Accountability (PEFA) Assessment, the supplementary Gender-Responsive Public Financial Management (GRPFM) and Climate-Responsive Public Financial Management (CRPFM) Assessments have been carried out for the first time as self-assessments. The PEFA oversight team, chaired by the Finance Secretary, provided policy guidance to conduct and complete this assessment. The PEFA Secretariat (Nepal) led and coordinated the assessment, including data collection and report writing. Eleven working teams (including nine teams for the main PEFA and one each for the GRPFM and CRPFM, each headed by an official of the rank of Joint Secretary), were formed to collect data and prepare preliminary drafts of indicator-level assessments. The PEFA Secretariat (Nepal) consolidated the inputs of the working teams and prepared the final report.

Such report is reviewed by various donor agencies such as World Bank, ADB, IMF, USAID etc and finally the PEFA Secretariat (international) provides the PEFA Check.

(For information purpose)

PFM Performance Indicator		Scoring Method	Dimension Score				Overall Score
			i.	ii.	iii.	iv.	
I. Budget reliability							
PI-1	Aggregate expenditure outturn	M1	D				D
PI-2	Expenditure composition outturn	M1	D	D	A		D+
PI-3	Revenue outturn	M2	D	C			D+
II. Transparency of public finances							
PI-4	Budget classification	M1	A				A
PI-5	Budget documentation	M1	C				C

PI-6	Central government operations outside financial reports	M2	D	D	D		D
PI-7	Transfers to subnational governments	M2	B	C			C+
PI-8	Performance information for service delivery	M2	B	B	A	B	B+
PI-9	Public access to fiscal information	M1	C				C
III. Management of assets and liabilities							
PI-10	Fiscal risk reporting	M2	D	D	D		D
PI-11	Public investment management	M2	C	B	B	C	C+
PI-12	Public asset management	M2	B	D	D		D+
PI-13	Debt management	M2	C	B	D		C
IV. Policy-based fiscal strategy and budgeting							
PI-14	Macroeconomic and fiscal forecasting	M2	D	C	D		D+
PI-15	Fiscal strategy	M2	D	D	D		D
PI-16	Medium-term perspective in expenditure budgeting	M2	C	A	C	D	C+
PI-17	Budget preparation process	M2	B	A	C		B
PI-18	Legislative scrutiny of budgets	M1	C	C	A	B	C+
V. Predictability and control in budget execution							
PI-19	Revenue administration	M2	A	C	D	B	C+
PI-20	Accounting for revenue	M1	B	A	C		C+
PI-21	Predictability of in-year resource allocation	M2	C	D	A	A	B
PI-22	Expenditure arrears	M1	A	C			C+
PI-23	Payroll controls	M1	B	A	C	C	C+
PI-24	Procurement management	M2	D	D*	B	B	C
PI-25	Internal controls on non-salary expenditures	M2	C	D	A		C+
PI-26	Internal audit	M1	A	D	A	D	D+
VI. Accounting and reporting							
PI-27	Financial data integrity	M2	B	NA	B	B	B
PI-28	In-year budget reports	M1	C	A	C		C+
PI-29	Annual financial reports	M1	C	B	C		C+
VII. External scrutiny and audit							
PI-30	External audit	M1	B	D	B	C	D+
PI-31	Legislative scrutiny of audit reports	M2	D	C	C	B	C

10. Improvement in PFM since last assessment in 2015

The PFM performance has exhibited improvement between the 2015 and 2022 assessments, as observed through the lens of the PEFA 2011 Framework. There was an improvement in the scores of 30 dimensions, a deterioration in the scores of 10 dimensions, and no change in the ratings of 31 dimensions. Nevertheless, despite the enhancements observed in the dimension scores, there was no corresponding improvement in the indicator scores. Specifically, out of the total of 28 indicators, the scores of 6 indicators improved, 7 experienced a decline in scores, while 15 indicators remained the same.

The transparency of intergovernmental fiscal relations has been enhanced by the implementation of transparent and rule-based fiscal transfers. The scope of unreported government operations has improved as a result of the rise in on-budget development assistance. Various line ministries have developed costed sector strategies that align with the MTEF (Medium Term Expenditure Framework), improving the multi-year perspective in budgeting. Taxpayer registration and tax collection transfer to the treasury have shown notable enhancements in efficacy. Other areas that have improved include debt management, internal audit coverage and reporting, compliance with internal controls, financial statement accuracy, and legislative scrutiny applied to budget and audit reports.

The budget credibility has declined over the years as the variance between budgeted and actual expenditure and revenues increased both at the aggregate level and by composition. This led to a decrease in the scores of three indicators. The new PFM regulations now require spending units to submit their budget estimates within four weeks, which is a reduction from the previous six weeks' allowance for submission. In the past, the MTEF used to categorize expenditures based on economic and functional classifications for the subsequent two fiscal years. However, the current MTEF provides expenditure estimates categorized into recurrent, capital, and financial provisions. Some areas of performance remained unchanged, but scores deteriorated due to anticipatory scoring of some dimensions and indicators during the previous assessment. For instance, the 2015 assessment considered the cash plan developed using quarterly budget projections from the spending units, equivalent to a cash flow statement.

11. PFM Reform Process in Nepal

After the first PEFA Assessment in 2008, the government has adopted a strategy of utilizing the outcomes of the PEFA Assessments as the foundation for its PFM reforms. Since 2008, the reforms have been guided by a PFM Reform Strategy, and the second phase of the strategy, spanning from FY2016/17 to FY2025/26, is under implementation. Several achievements have been accomplished under the PFM Reform Strategy. Implementation of information systems for budgeting, expenditure, reporting, and revenue administration has instituted fiscal discipline and financial efficiency. The Treasury Single Account (TSA) has been implemented that facilitates better cash management. The enactment of updated PFM legislation has brought more transparency and a results-oriented approach to the PFM process in all three tiers of government. Nepal has adopted international standards for accounting and auditing to improve the quality of financial reporting and auditing.

The GoN has implemented PFM reforms since the 1990s. Initially, the government made interventions at the thematic and institutional levels. After the first PEFA Assessment in 2008, the government adopted a strategy of utilizing the outcomes of PEFA Assessments as the foundation for its PFM reforms. The first PEFA Assessment, released in 2008, included an Action Plan for Strengthening Public Financial Management Performance (short term and medium term), which was used as the first Integrated PFM Reform Strategy. This strategy made recommendations regarding the various PFM components. The government also made reform interventions based on the strategy.

The second PEFA Assessment in 2015 led to the formulation of the second phase of the PFM Reform Strategy spanning from 2016/17 to 2025/26. To execute this approach, a PFM Reform Steering Committee, chaired by Finance Secretary, was established to offer strategic input. The PEFA Secretariat (Nepal), operating under the MoF, was established to serve as the coordinating body for PFM reform efforts. With the support of the Nepal PFM Multi-Donor Trust Fund (MDTF), the Integrated Public Financial Management Reform Project (IPFMRP) was prepared in 2018 to implement PFM reform activities. **The IPFMRP concluded its operations in July 2023 with noteworthy achievements within the PFM cycle. The IPFMRP has achieved numerous results that have helped improve efficiency of the PFM institutions, systems, and processes. Notable accomplishments include establishing the Project Bank system, implementing the NPSAS, improving and implementing various information systems, enhancing external audit quality, standardizing procurement documents, and building the capacity of civil servants in PFM and procurement**.

Various development partners have also been engaged in supporting the PFM reforms in Nepal. The World Bank, through budget support operations, is supporting the government to enhance fiscal effectiveness in service delivery. This includes measures to improve **revenue collection, reduce fragmentation of debt management, increase debt transparency, and enhance spending on climate-resilient infrastructure. Improved expenditure and debt management** are areas of reform addressed by budget support operation of the Asian Development Bank (ADB). The ADB operation supports a range of reforms, including the establishment of a macroeconomic framework and fiscal policy, the implementation of the debt management strategy (DMS), the restructuring of PEs, the improvement of expenditure allocation and controls systems, and the implementation of the e-GP roadmap. The three-year economic program supported by the Extended Credit Facility of the International Monetary Fund (IMF) assigns great relevance to institutional reforms and aims to (a) improve fiscal transparency, governance, and reduce susceptibility to corruption; (b) ensure fiscal sustainability and effective management of fiscal risks; and (c) enhance the implementation of capital projects outlined in the budget.

The Revenue Administration Support project, financed by the German Agency for International Cooperation (Deutsche Gesellschaft für Internationale Zusammenarbeit, GIZ), seeks to transform the taxation system in Nepal by concentrating on three interconnected areas of assistance: enhanced digitalization, enhanced tax administration, and greater facilitation for taxpayers. The project envisages assisting Nepal toward its objective of generating sufficient own-source revenue to fund its development. The Parliamentary Support Project, funded by Norway, aims to assist parliaments and their secretariats in enhancing their parliamentary capacities to effectively implement the new Constitution and establish federalism in Nepal. Norway is also providing technical assistance to improve the fiduciary management capabilities of the Ministry of Education, Science and Technology.

The Provincial and Local Governance Support Program (PLGSP), supported by development partners, is a national initiative of the government to enhance the capabilities of institutions and organizations at the provincial and local levels. Enhancing the PFM systems of subnational governments is a primary area of emphasis for the PLGSP. The USAID2 funded PFM Strengthening Project seeks to enhance PFM capacity within the federal, provincial, and municipal governments in the Madhesh and Lumbini Provinces of Nepal over the next five years. Other development partners are providing technical assistance to support PFM reforms at the subnational level. The World Bank is supporting Gandaki Province and the ADB is aiding Madhesh Province in conducting their PEFA Assessments.

The PFM Reform Strategy is being revised by the government in light of the findings from the current PEFA Assessment, with a particular focus on fiscal federalism. In addition to the core PFM systems, the government has prioritized gender-responsive and climate-responsive PFM systems for the next phase of reforms. The MoF has initiated the process of preparing a comprehensive five-year reform strategy, with the intention of commencing its implementation during FY2024/25.

Various reforms observed in PFM in Nepal

Legal and Institutional Reforms
Fiscal Procedures and Financial Responsibility Act (2019)
Intergovernmental Fiscal Arrangement Act (2017)
Public Procurement Act and Regulations
Strengthening oversight institutions:
Office of the Auditor General (OAG)
National Natural Resources and Fiscal Commission (NNRFC)
Budgeting and Planning Reforms
Introduction of Medium-Term Expenditure Framework (MTEF) to align planning with budgeting.
Results-based planning and Performance-Based Budgeting (PBB).
Use of Line Ministry Budget Information System (LMBIS) for integrated budgeting.

Treasury and Accounting Reforms
Implementation of Treasury Single Account (TSA) for centralized and real-time cash management.
Use of Computerized Government Accounting System (CGAS).
Ongoing move towards accrual-based accounting, from traditional cash-based.

Revenue Administration Reforms
Automation through Integrated Tax System (ITS).
Introduction of electronic VAT invoicing (E-VAT).
Strengthening the Nepal Revenue Administration System (RAMIS).

Public Procurement Reforms
Strengthened legal and regulatory frameworks via Public Procurement Monitoring Office (PPMO).
Use of e-GP system (electronic Government Procurement).
Emphasis on competitive, transparent bidding processes.

Audit and Oversight Reforms
Enhancing capacity of the Office of Auditor General (OAG) to conduct performance and IT audits.
Strengthening parliamentary oversight through the Public Accounts Committee (PAC).

PFM at Sub-National Level (Provincial & Local Governments)
Development of Subnational Treasury Regulatory Application (SuTRA) for local government PFM.
Support for local budgeting, accounting, and reporting in alignment with national standards.
Capacity building for local government officials.

Transparency and Citizen Engagement
Open Budget initiatives and citizen charters.
Public Expenditure and Financial Accountability (PEFA) assessments.
Use of digital platforms for publishing budget and expenditure data.

12. Strength & Weakness of PFM System in Nepal

Strength of PFM System in Nepal

- Nepal possesses a robust legislative and institutional framework for PFM, which effectively regulates the utilization of public resources with a focus on transparency, accountability, and efficiency. The framework additionally incorporates explicit delineations of tasks and responsibilities for various governmental entities.
- The government has deployed a range of information systems to enhance the efficiency of PFM performance.
- The adherence to international standards (Government Finance Statistics Manual [GFSM] and Classification of the Functions of Government [COFOG]) in the budget and accounts classification ensures comparability, accuracy, comprehensiveness, and transparency in financial information.
- Budgets are designed with a medium-term outlook, and the majority of line ministries have developed costed sector strategies. The predictability of resource availability for spending units is at a high level.
- Ministry of Finance (MoF) do not normally initiate any in-year budget modifications, and the utilization of contingency reserves for expenditure is also minimal.
- The fiscal transfers allocated to subnational governments exhibit transparency and adherence to established rules. The scope and coverage of both the internal and external audit are extensive. transparent and rule-based fiscal transfers to subnational governments
- Availability of reliable financial data for the preparation of periodic budget execution reports and annual financial statements.
- Regular internal audits are undertaken to ensure compliance, while the Office of the Auditor General (OAGN) conducts annual financial and performance audits to detect inefficiencies in program implementation and service delivery.

Weaknesses in PFM in Nepal

- Actual budget outcomes exhibit a notable degree of underperformance led by ambitiousness in macroeconomic and fiscal projections, coupled with overly optimistic budgeting, and the absence of a coordinated fiscal strategy
- There is currently a lack of a dependable database for monitoring procurement activities, and the procurement planning process is not sufficiently robust.
- The expenditure units fail to fulfill a substantial portion of their scheduled procurements within the designated time frame, leading to a reduction in the budget outturn
- The existing system for monitoring public investments and fiscal outcomes has been established; nevertheless, the current reporting lacks comprehensive explanations of discrepancies and corresponding measures to rectify them.
- The specified framework for fiscal risk reporting and monitoring exists; however, there is a lack of documentation to substantiate the implementation of fiscal risk reporting and monitoring.
- Revenue entities employ a partially structured and systematic methodology to evaluate and prioritize compliance risks and are yet to develop compliance improvement plans.
- The examination of audit reports by the legislative body has experienced delays, resulting in the Public Accounts Committee (PAC) being unable to fully review the audit report for any fiscal year over the past three years

13. Nepal Public Sector Accounting Standards

Revised Nepal Public Sector Accounting Standards (NPSAS) has been Approved by the Government of Nepal on 2079 Mangsir 20. NPSAS is applicable to entities preparing general purpose financial statements under cash basis.

The Cash Basis NPSAS has been developed as an intermediate step to assist in the transition to the accrual basis of financial reporting and adoption of accrual NPSAS. It is not intended as an end in itself. Public sector entity that prepares and presents general purpose financial statements (financial statements) under the cash basis of accounting, as defined in this Standard, shall apply the requirements of Part 1 of this Standard in the presentation of its annual financial statements.

Components of NPSAS

Part 1 – Mandatory
(To all entities under cash basis)

It defines the cash basis of accounting, establishes requirements for the disclosure of information in the financial statements and supporting notes, and deals with several specific reporting issues.

Part 2 – Optional

(To facilitate entities to transition into accrual NPSAS)

It identifies additional accounting policies and disclosures that an entity is encouraged to adopt to enhance the usefulness of its financial statements for accountability and decision-making purposes and to support its transition to the accrual basis of financial reporting and adoption of accrual NPSASs.

Applicability of NPSAS	The NPSAS are designed to apply to public sector entities that meet all the following criteria: a) Are responsible for the delivery of services2 to benefit the public and/or to redistribute income and wealth; b) Mainly finance their activities, directly or indirectly, using taxes and/or transfers from other levels of government, social contributions, debt or fees; and c) Do not have a primary objective to make profits. **This Standard applies to all public sector entities other than Government Business Enterprises.** Government Business Enterprises (GBEs) are profit-oriented entities. Accordingly, they are required to comply with NFRSs/ Nepal Accounting Standards (NASs)
What are public sector entities	Paragraph 1.8 of The Conceptual Framework for General Purpose Financial Reporting by Public Sector Entities identifies a wide range of public sector entities for which IPSASs are designed. The Conceptual Framework applies to financial reporting by public sector entities that apply IPSASs. Therefore, it applies to GPFRs of national, regional, state/provincial and local governments. It also applies to a wide range of other public sector entities including: • Government ministries, departments, programs, boards, commissions, agencies; • Public sector social security funds, trusts, and statutory authorities; and • International governmental organizations.

<table>
<tr>
<td>Objective of NPSAS</td>
<td>The objectives of financial reporting by public sector entities are to provide information about the entity that is useful to users of general-purpose financial statements and other general-purpose financial reports (GPFRs) for accountability and decision-making purposes

Information about the cash receipts, cash payments, and cash balances of an entity is necessary for accountability purposes and provides input useful for assessments of the ability of the entity to generate adequate cash in the future and the likely sources and uses of cash.
In evaluating and making decisions about the allocation of cash resources and the sustainability of the entity's activities, users require an understanding of the timing and certainty of cash receipts and cash payments.

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<tr>
<td>Meaning of cash basis of accounting</td>
<td>The cash basis of accounting recognizes transactions and events only when cash (including cash equivalents) is received or paid by the entity. Financial statements prepared under the cash basis provide readers with information about the sources of cash raised during the period, the purposes for which cash was used, and the cash balances at the reporting date.
<table>
<tr><td>Cash</td><td>Cash comprises cash on hand, demand deposits, and cash equivalents.</td></tr>
<tr><td>Cash basis</td><td>A cash basis means a basis of accounting that recognizes transactions and other events only when cash is received or paid.</td></tr>
<tr><td>Cash equivalents</td><td>Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.</td></tr>
<tr><td>Control of cash</td><td>Control of cash arises when the entity can use or otherwise benefit from the cash in pursuit of its objectives and can exclude or regulate the access of others to that benefit.</td></tr>
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<tr>
<td>Financial Statements under cash basis of accounting</td>
<td>An entity shall prepare and present financial statements which include the following components:
a) a statement of cash receipts and payments which
i) recognizes all cash receipts, cash payments, and cash balances controlled by the entity; and
ii) Separately identifies payments made by third parties on behalf of the entity following paragraph 1.3.25 of this Standard;
<table><tr><td>Payments made by third parties will not satisfy the definition of cash, cash payments and cash receipts of this Standard and will not be presented as cash receipts and payments controlled by the reporting entity in the statement of cash receipts and payments or other statements that might be prepared by the reporting entity</td></tr></table>
b) accounting policies and explanatory notes; and
c) When the entity makes publicly available its approved budget, a comparison of budget and actual amounts either as a separate additional financial statement or as a budget column in the statement of cash receipts and payments following paragraph 1.9.8 of this Standard.
<table><tr><td>Information to be presented in Statement of Cash Receipt and Payment

The statement of cash receipts and payments shall present the following amounts for the reporting period:
a) total cash receipts of the entity showing separately a sub-classification of total cash receipts using a classification basis appropriate to the entity's operations;
b) total cash payments of the entity showing separately a sub-classification of total cash payments using a classification appropriate to the entity's operations; and basis
c) beginning and closing cash balances of the entity.</td></tr></table>
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What could be the various subclassification for cash receipt and payment?

Total cash receipts may be classified to, for example, separately identify

cash receipts from taxation or appropriation;
grants and donations;
borrowings;
proceeds from the disposal of property, plant, and equipment; and other ongoing service delivery and trading activities.

Total cash payments may be classified to, for example, separately identify cash payments in respect of:

ongoing service delivery activities including transfers to constituents or other governments or entities;
debt reduction programs;
acquisitions of property, plant, and equipment; and
any trading activities

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<tr>
<td>Information on item not recognized using cash basis</td>
<td>
Entities that report using the cash basis of accounting frequently collect information ion on items that are not recognized under cash accounting. Examples of the type of information that may be collected include details of:
a) receivables, payables, borrowings and other liabilities, non-cash assets, and accruing revenues and expenses;
b) commitments and contingent liabilities; and
c) performance indicators and the achievement objectives of service delivery
</td>
</tr>
<tr>
<td>Presentation on Gross Basis</td>
<td>
Total cash receipts and total cash payments, and cash receipts and cash payments for each sub-classification of cash receipt and payment, shall be reported on a gross basis, except that cash receipts and payments may be reported on a net basis when:

a) they arise from transactions which the entity administers on behalf of other parties and which are recognized in the statement of cash receipts and payments; or

Governments and government departments and other government entities may administer transactions and otherwise act as agents on behalf of others. These administered and agency transactions may encompass the collection of revenues on behalf of another entity, the transfer of funds to eligible beneficiaries, or the safekeeping of monies on behalf of constituents. Examples of such activities may include:
a) the collection of taxes by one level of government for another level of government, not including taxes collected by a government for its use as part of a tax-sharing arrangement;
b) the acceptance and repayment of demand deposits of a financial institution;
c) funds held for customers by an investment or trust entity;
d) rent s collected on behalf of, and paid over to, the owners of properties;
e) transfers by a government department to third parties consistent with legislation or other government authority; and
f) funds administered by a central entity under the "single account" basis for management of government expenditure

In many cases, the cash an entity receives in respect of transactions it administers as an agent for others will be deposited in trust accounts for, or directly in the bank account of, the ultimate recipients of the cash. In these cases, the entity will not control the cash it receives in respect of the transactions it administers and these cash flows will not form part of the cash receipts, cash payments, or cash balances of the entity.

b) they are for items in which the turnover is quick, the amounts are large, and the maturities are short.
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<tr><td>Payment by third parties on behalf of entity</td><td>Where, during a reporting period, a third party directly settles the obligations of an entity or purchases goods and services for the benefit of the entity, the entity should disclose in separate columns on the face of the statement of cash receipts and payments:
a) total payments made by the third economic entity to which the parties which reporting entity are part of the belongs, showing separately a sub- classification of the sources and uses of total payments using a classification basis operations; and appropriate to the entity's

• Where a government manages the expenditure of its departments and other entities through a centralized treasury function or a "single account" arrangement, payments are made on behalf of those departments and entities by a central entity after appropriate authorization and documentation from the department. In these cases, the department or other entity does not control cash inflows, cash outflows, and cash balances. However, the department or other entity benefits from the payments being made on its behalf, and knowledge of the amount of these payments is relevant to users in identifying the cash resources the government has applied to the entity's activities during the period

• In some situations, government departments or other entities may be established with their bank accounts and will control certain cash inflows, cash outflows, and cash balances. In these cases/situations, government directions or instructions may also require one department or other government entity to settle certain obligations of another department or entity or to purchase certain goods or services on behalf of another department or entity.

The department or other entity reports in a separate column on the face of the statement of cash receipts and payments, the number of payments made by the central entity on its behalf, and the sources and uses of the amount expended sub-classified on a basis appropriate for the department or other entity. These disclosures will enable users to identify the total amount of payments made, the purposes for which they were made, and whether, for example, the payments were made from amounts allocated or appropriated from general revenue or special purpose funds or other sources

b) total payments made by third parties which are not part of the economic the entity to which the reporting entity belongs, showing separately a sub- classification of the sources and uses of total payments using a classification basis appropriate to the entity's operation.

Such disclosure should only be made when during the reporting period the entity has been formally advised by the third party or the recipient that such payment has been made or has otherwise verified the payment.</td></tr>
<tr><td>Qualitative Characteristics of Financial Statements (Para 1.3.35 of Part 1)</td><td>Financial statements shall present information that is:
a) understandable;
b) relevant to the decision-making and accountability needs and of users;
c) A faithful representation of the cash receipts, cash payments, and cash balances of the entity and the other information disclosed in the financial statements in that it is:
i) Complete;
ii) Neutral; and
iii) Free from material error
d) Comparable;
e) Timely; and
f) Verifiable.</td></tr>
</table>

Appendix 4 of the NPSAS discusses about the qualitative characteristic as follows

Understandability	Understandability is the quality of information that enables users to comprehend its meaning. General Purpose Financial Statements (financial statements) of public sector entities should present information in a manner that responds to the needs and knowledge base of users, and the nature of the information presented. Users are assumed to have a reasonable knowledge of the entity's activities and the environment in which it operates and to be willing to study the information. Information about complex matters should not be excluded from the financial statements merely because it may be too difficult for certain users to understand without assistance.
Relevance	Information is relevant if it is capable of making a difference in achieving the objectives of financial reporting. Information is capable of making a difference when it has confirmatory value, predictive value, or both. It may be capable of making a difference, and thus be relevant, even if some users choose not to take advantage of it or are already aware of it.
Faithful Representation	To be useful in financial reporting, information must be a faithful representation of the economic and other phenomena that it purports to represent. Faithful representation is attained when the depiction of the phenomenon is complete, neutral, and free from material error. Information that faithfully represents economic or other phenomena depictsthe substance of the underlying transactions and other events, activity, or circumstance—which is not necessarily always the same as its legal form.
Comparability	Information in financial statements is comparable when users can identify similarities and differences between, two sets of phenomena. Comparability is not a quality of an individual item of information, but rather a quality of the relationship between two or more items of information. • Comparability applies to the: • comparison of financial statements of different entities; and • comparison of the financial statements of the same entity over periods. An important implication of the characteristic of comparability is that users need to be informed of the policies employed in the preparation of financial statements, changes to those policies, and the effects of those changes. Because users wish to compare the performance of an entity over time, the financial statements must show corresponding information for preceding periods.
Timeliness	Timeliness means having information available for users before it loses its capacity to be useful for accountability and decision-making purposes. Having relevant information available sooner can enhance its usefulness as input to assessments of accountability and its capacity to inform and influence decisions that need to be made. A lack of timeliness can render information less useful.
Verifiability	Verifiability is the quality of information that helps assure users that information in financial statements faithfully represents the economic and other phenomena that it purports to represent. Supportability is sometimes used to describe this quality when applied in respect of explanatory information and prospective financial and non-financial quantitative information disclosed in financial statements. Whether referred to as verifiability or supportability, the characteristic implies that different knowledgeable and independent observers could reach a consensus, although not necessarily complete agreement, that either:

	• The information represents the economic and other phenomena that it purports to represent without material error or bias; or • An appropriate recognition, measurement, or representation method has been applied without material error or bias.
Constraints on Information Included in General Purpose Financial Statements	The balance between benefit and cost is a pervasive constraint. The benefits derived from information should justify the cost of providing it. Assessing whether the benefits of providing information justify related costs is often a matter of the judgment because it is often not possible to identify and/or quantify all the costs and all the benefits of information included in financial statements. The costs of providing information include the costs of collecting and processing the information, the costs of verifying it, and/or presenting the assumptions and methodologies that support it, and the costs of disseminating it. Users incur the costs of analysis and interpretation. Preparers expend the majority of the effort to provide information in financial statements. However, service recipients and resource providers ultimately bear the cost of those efforts— because resources are redirected from service delivery activities to the preparation of information for inclusion in financial statements. Users reap the majority of benefits from the information provided by financial statements. However, information prepared for financial statements may also be used internally by management and result in better decision-making by management.
Reporting Period	The general purpose financial statements shall be presented at least annually. When, in exceptional circumstances, an entity's reporting date changes and the annual financial statements are presented for a period longer or shorter than one year, an entity shall disclose in addition to the period covered by the financial statements: a) The reason(s) for a period other than one year being used; and b) The fact that comparative amounts may not be comparable.
Timeliness	The usefulness of the financial statements is impaired if they are not made available to users within a reasonable period after the reporting date. An entity should be in a position to issue its financial statements within six months of the reporting date. Although, a timeframe of no more than three months is strongly encouraged.
Authorization Date	An entity shall disclose the date when the financial statements were authorized for issue and who gave that authorization. If another body has the power to amend the financial statements after issuance, the entity shall disclose that fact
Information about the Entity	An entity shall disclose the following in the notes to the financial statements if not disclosed elsewhere in information published with the financial statements: a) the domicile and legal form of the entity, and the jurisdiction(s) within which it operates; b) a description of the nature of the entity's operations and principal activities; c) a reference to the relevant legislation governing the entity's operations, if any; and d) The significant entities or sectors of government that are presented in the financial statements, and changes in the significant entities or sectors that comprise the reporting entity and were presented in the previous periods' financial statements.
Restrictions on Cash Balances and Access to Borrowings	An entity shall disclose in the notes to the financial statements together with a commentary, the nature and amount of: a) significant cash balances that are not available for use by the entity; b) significant cash balances that are subject to external restrictions; and c) undrawn borrowing facilities that may be available for future operating activities and to settle capital commitments, indicating any restrictions on the use of these facilities. Cash balances held by an entity would not be available for use by the entity when, for example, a controlled entity operates in a country where exchange controls or other legal restrictions apply and the balances are not available for general use by the controlling entity or other controlled entities.

	Cash balances controlled by an entity may be subject to restrictions that limit the purpose or timing of their use. This situation often exists when an entity receives a grant or donation which must be used for a specific purpose. It may also exist where, at the reporting date, an entity holds in its bank accounts cash it has collected for other parties in its capacity as an agent but not yet transferred to those parties. Although these balances are controlled by the entity and reported as a cash balance of the entity, separate disclosure of the number of such items is helpful to readers.
Consistency of Presentation	The presentation and classification of items in the financial statements shall be retained from one period to the next unless: • It is apparent, following a significant change like the operations of the entity or a review of its financial statements that another presentation or classification would be more appropriate having regard to the criteria for the selection and application of accounting policies in paragraph 1.3.35; or • a change in presentation is required by a future amendment to this Standard
Correction of Errors	When an error arises concerning a cash balance reported in the financial statements, the amount of the error that relates to prior periods should be reported by adjusting the cash at the beginning of the period. Comparative information should be restarted unless it is impracticable to do so. An entity shall disclose in the notes to the financial statements the following: a) the nature of the error that relates to a prior period; b) the amount of the correction; and c) the fact that comparative information has been restated or that it is impracticable to do so.
Consolidated Financial Statements	<u>Consolidated financial statements</u> are the financial statements of an economic entity in which the cash receipts, cash payments, and cash balances of the controlling entity and its controlled entities are presented as that of a single entity ***What is an economic entity?*** An economic entity may include entities with both social policy and commercial objectives. For example, a government housing department may be an economic entity that includes entities that provide housing for a nominal charge, as well as entities that provide accommodation on a commercial basis. The determination of the economic entity will need to be made having regard to the constitutional arrangements in a jurisdiction, in particular how government power is limited and allocated, and how the government system is set up and operates. For example, in jurisdictions with an executive, legislature, and judiciary, these may collectively form an economic entity in respect of which there is a user need for consolidated financial statements. Such consolidated financial statements are commonly referred to as whole-of-government financial statements **What is the consolidation procedure? (1.6.18)** The following consolidation procedures apply: a) cash balances and cash transactions between entities within the economic entity should be eliminated in full; b) when the financial statements used in a consolidation are drawn up to different reporting dates, adjustments should be made for the effects of significant cash transactions that have occurred between those dates and the date of the controlling entity's financial statements. In any case, the difference between the reporting dates should be no more than three months; and c) consolidated financial statements should be prepared using uniform accounting

	policies for like cash transactions. If it is not practicable to use uniform accounting policies in preparing the consolidated financial statements, that fact should be disclosed together with the proportions of the items in the consolidated financial statements to which the different accounting policies have been applied.
Foreign Currency (1.7)	Cash receipts and payments arising from transactions in a foreign currency shall be incorporated in the Statement of Receipts and Payments in an entity's presentation currency by applying to the foreign currency amount the spot exchange rate between the reporting currency and the foreign currency at the date of the receipts and payments. Cash balances held in a foreign currency shall be translated using the closing rate. The cash receipts and cash payments of a foreign-controlled entity shall be translated at the exchange rates between the presentation currency and the foreign currency at the dates of the receipts and payments. An entity shall disclose the number of exchange differences included as reconciling items between opening and closing cash balances for the period. When the presentation currency is different from the currency of the country in which the entity is domiciled, the reason for using a different currency shall be disclosed. The reason for any change in the presentation currency shall also be disclosed. ***What kind of foreign currency transactions does a government have?*** Governments and government entities may have transactions in foreign currencies such as borrowing an amount of foreign currency, receiving external and other assistance in the form of foreign currency, or purchasing goods and services where the purchase price is designated as a foreign currency amount. They may also have foreign operations and transfer cash to and receive cash from those foreign operations. To include foreign currency transactions and foreign operations in financial statements the entity must express cash receipts, payments, and balances in the currency in which the reporting entity presents its financial statements.
Presentation of Budget Information in financial	Accounting basis means the accrual or cash basis of accounting. An annual budget means an approved budget for one year. It does not include published forward estimates or projections for periods beyond the budget period. Appropriation is an authorization granted by a legislative body to allocate funds for purposes specified by the legislature or similar authority. Approved budget means the expenditure authority derived from laws, appropriation bills, government ordinances, and other decisions related to the anticipated revenue or receipts for the budgetary period. **Approved Budget** An approved budget as defined by this Standard reflects the anticipated revenues or receipts expected to arise in the annual or multi-year budget period based on current plans and the anticipated economic conditions during that budget period, and expenses or expenditures approved by a legislative body, being the legislature or other relevant authority. An approved budget is not a forward estimate or a projection based on assumptions about future events and possible management actions that are not necessarily expected to take place. Similarly, an approved budget differs from prospective financial information which may be in the form of a forecast, a projection, or a combination of both - for example, a one-year forecast plus a five- year projection. ***A budgetary basis means the accrual, cash, or other bases of accounting adopted in the budget that has been approved by the legislative body.***

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<u>Comparable basis</u> means the actual amounts presented on the same accounting basis, same classification basis, for the same entities, and the same period as the approved budget.

<u>The final budget</u> is the original budget adjusted for all reserves, carryover amounts, transfers, allocations, supplemental appropriations, and other authorized legislative or similar authority, changes applicable to the budget period.

<u>A multi-year budget</u> is an approved budget for more than one year. It does not include published forward estimates or projections for periods beyond the budget period.

<u>The original budget</u> is the initial approved budget for the budget period.

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<tr><td>Presentation of a Comparison of Budget and Actual Amounts</td><td>

Subject to the requirements of paragraph 1.9.17, an entity that makes publicly available its approved budget(s) shall present a comparison of the budget amounts for which it is held publicly accountable and actual amounts either as a separate additional financial statement or as additional budget columns in the statement of cash receipts and payments currently presented following this Standard. The comparison of budget and actual amounts shall present separately for each level of legislative oversight:

a) The original and final budget amounts;

b) The actual amounts on a comparable basis; and

c) By way of note disclosure, an explanation of material differences between the budget for which the entity is held publicly accountable and actual amounts, unless such an explanation in included in other public documents issued in conjunction with the financial statements, and a cross-reference to those documents is made in the notes.

Is it mandatory to always disclose the budget information?

This Standard applies to all entities that are required to, or elect to, make publicly available their approved budget(s). This Standard does not require approved budgets to be made publicly available, nor does it require that the financial statements disclose information about, or include comparisons with, approved budgets that are not made publicly available.

An entity shall present a comparison of budget and actual amounts as additional budget columns in the statement of cash receipts and payments only where the financial statements and the budget are prepared on a comparable basis

<u>What should be the level of aggregation?</u>

Budget documents may provide great detail about particular activities, programs, or entities. These details are often aggregated into broad classes under common "budget heads", "budget classifications" or "budget headings" for presentation to, and approval by, the legislature or other authoritative body. The disclosure of budget and actual information consistent with those broad classes and budget heads or headings will ensure that comparisons are made at the level of legislative or other authoritative body oversight identified in the budget document

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<tr><td>Changes from Original to Final Budget</td><td>

An entity shall present an explanation of whether changes between the original and final budget are a consequence of reallocations within the budget, or of other factors, either:

a) by way of note disclosure in the financial statements; or
b) in a report issued before, at the same time as, or in conjunction with the financial statements, and shall include a cross-reference to the report in the notes to the financial statements.

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<tr><td>Comparable Basis (Para 1.9.25 to 1.30)</td><td>

All comparisons of budget and actual amounts shall be presented on a comparable basis to the budget.

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	The comparison of budget and actual amounts will be presented on the same accounting basis (accrual, cash, or another basis), same classification basis, and for the same entities and period as for the approved budget. This will ensure that the disclosure of information about compliance with the budget in the financial statements is on the same basis as the budget itself. In some cases, this may mean presenting a budget and actual comparison on a different basis of accounting, for a different group of activities, and with a different presentation or classification format than that adopted for the financial statements. As noted in paragraph 1.9.10, separate budgets may be approved and made publicly available for individual entities or particular activities that make up the reporting entity. Where this occurs, the separate budgets may be recompiled for presentation in the financial statements following the requirements and encouragements of this Standard. Where such recompilation occurs, it will not involve changes or revisions to approved budgets. This is because this Standard requires a comparison of actual amounts with the approved budget amounts. Entities may adopt different bases of accounting for the preparation of their financial statements and their approved budgets. For example, in some, albeit rare, cases a government or government agency may adopt the cash basis for its financial statements and the accrual basis for its budget. Also, budgets may focus on or include information about, commitments to expend funds in the future and changes in those commitments, while the financial statements will report cash receipts and payments and balances thereof. However, the budget entity and financial reporting entity will often be the same. Similarly, the period for which the budget is prepared and the classification basis adopt ed for the budget will often be reflected in financial statements. This will ensure that the accounting system records and reports financial information in a manner which facilitates the comparison of budget and actual data for management and accountability purposes - for example, for monitoring the progress of execution of the budget during the budget period and for reporting to the government, the public and other users on a relevant and timely basis. In some cases, budgets may be prepared on a cash or accrual basis consistent with a statistical reporting system that encompasses entities and activities different from those included in the financial statements. For example, budgets prepared to comply with a statistical reporting system may focus on the general government sector and encompass only entities fulfilling the "primary" or "non-market" functions of government as their major activity, while financial statements report on all activities controlled by a government, including the business activities of the government In statistical reporting models, the general government sector may comprise national, state/provincial, and local government levels. Sometimes, the national government may control state/provincial and local governments, consolidate those governments in its financial statements and develop, and require to be made publicly available, an approved budget that encompasses all three levels of government. In these cases, the requirements of this Standard will apply to the financial statements of those national governmental entities. However, where a national government does not control state or local governments, the consolidated financial statement of the national government will not consolidate state/provincial or local governments that it does not control. However, separate financial statements may be prepared for each level of government. The requirements of this Standard will only apply to the financial statements of governmental entities when approved budgets for the entities and activities they control, or subsections thereof, are made publicly available
Multi-year Budgets	Governments and other entities approve and make publicly available multi-year budgets, rather than separate annual budgets. Conventionally, multi-year budgets comprise a series of annual budgets or annual budget targets. The approved budget for each component's annual period reflects the application of the budgetary policies associated with the multi-year budget for that component period. In some cases, the multi-year budget provides for a roll-forward of unused appropriations in any single year. Governments and other entities with multi-year budgets may take different approaches to determine their original and final budget depending on how their budget is passed. For

	example, a government may pass a biennial budget that contains two approved annual budgets, in which case an original and final approved budget for each annual period will be identifiable. If unused appropriations from the first year of the biennial budget are legally authorized to be spent in the second year, the "original" budget for the second year period will be increased for these "carry over" amounts. In the rare cases in which a government passes a biennial or other multi-period budget that does not specifically separate budget amounts into each annual period, judgment may be necessary for identifying which amounts are attributable to each annual period for determining the annual budget for this Standard. For example, the original and final approved budget for the first year of a biennial period will encompass any approved capital acquisitions for the biennial period that occurred during the first year, together with the amount of the recurring revenue and expenditure items attributable to that year. The unmounts from the first annual period would then be included in the "original" budget for the second annual period and that budget together with any amendments thereto would form the final budget for the second year. Part 2 of this Standard encourages disclosure of the relationship between budget and actual amounts during the budget period	
Disclosures of Budgetary Basis, Period, and Scope	*An entity shall explain in notes to the financial statements the budgetary basis and classification basis adopted in the approved budget.*	There may be differences between the accounting basis (cash, accrual, or some modification thereof) used in the preparation and presentation of the budget and the accounting basis used in the financial statements. These differences may occur when the accounting system and the budget system compile information from different perspectives - the budget may focus on cash flows plus certain accruals and commitments while the financial statements report cash receipts and cash payments Formats and classification schemes adopted for presentation of the approved budget may also differ from the formats adopted for the financial statements. An approved budget may classify items on the same basis as is adopted in the financial statements, for example, expenditures by economic nature (compensation of employees, supplies and consumables, grants and transfers, etc.) or function (health, education, etc.). Alternatively, the budget may classify items by specific programs (for example, poverty reduction or control of contagious diseases) or program components linked to performance outcome objectives (for example, students graduating from tertiary education or surgical operations performed by hospital emergency services), which differ from classifications adopted in the financial statements. Further, a recurrent budget for ongoing operations (for example, education or health) may be approved separately from a capital budget for capital outlays (for example, infrastructure or buildings).
	An entity shall disclose in notes to the financial statements the period of the approved budget	Financial statements are presented at least annually. Entities may approve budgets for an annual period or multi-year periods. Disclosure of the period covered by the approved budget where that period differs from the reporting period adopted for the financial statements will assist the user of those financial statements to better understand the relationship of the budget data and budget compared to the financial statements. Disclosure of the period covered by the approved budget where that period is the same as the period covered by the financial statements will also serve a useful confirmation role, particularly in such situations where interim budgets and financial statements and reports are also prepared.
	An entity shall identify in notes to the financial statements the entities included	Paragraph 1.6.5 of this Standard requires controlling entities to prepare and present consolidated financial statements that encompass budget- dependant entities and commercial public sector entities controlled by the government. However, as noted in paragraph 1.9.29, approved budgets prepared following statistical

	in the approved budget	reporting models may not encompass operations of the government that are undertaken on a commercial or market basis. Consistent with the requirements of paragraph 1.9.25, budget and actual amounts will be presented on a comparable basis. Disclosure of the entities encompassed by the budget will enable users to identify the extent to which the entity's activities are subject to an approved budget and how the budget entity differs from the entity reflected in the financial statements
Reconciliation of Actual Amounts on a Comparable Basis and Actual Amounts in the Financial Statements	The actual amounts presented on a comparable basis to the budget following paragraph 1.9.25 shall, where the financial statements and the budget are not prepared on a comparable basis, be reconciled to total cash receipts and total cash payments, identifying separately any basis, timing, and entity differences. The reconciliation shall be disclosed on the face of the statement of comparison of budget and actual amounts or in the notes to the financial statements Differences between the actual amounts identified consistent with the comparable basis and the actual amounts recognized in the financial statements can usefully be classified into the following: a) Budgetary basis differences, which occur when the approved budget is prepared on a basis other than the accounting basis. For example, where the budget is prepared on the accrual basis or modified cash basis and the financial statements are prepared on a cash basis; b) timing differences, which occur when the budget period differs from the reporting period reflected in the financial statements; and c) entity differences, which occur when the budget omits programs or entities that are part of the entity for which the financial statements are prepared.There may also be differences in formats and classification ion schemes adopted for the presentation of financial statements and the budget.	

14. Illustrative Financial Statements under NPSAS

Government of Nepal

Consolidated financial statements

Consolidated statement of cash receipts and payments for year ended

Statement of comparison of budget and actual amount

For the year ended

Budget approved on the cash basis (classification of payments by functions)

FINANCIAL STATEMENTS FOR NATIONAL GOVERNMENT A

Statement of Cash Receipts and Payments for Year Ended 31 Ashar 200X)

(in thousands of currency units)	Note	200X	200X-1
		Receipts/(Payments)	Receipts/(Payments)
RECEIPTS			
Taxation			
Income tax		X	X
Value-added tax		X	X
Property tax		X	X
Other taxes		X	X
Donations, Grants, and Other Aid	10	X	X
Borrowings	3		
Proceeds from Commercial Institutions		X	X
Proceeds from Development Banks and similar organizations		X	X
Capital Receipts			
Proceeds from disposal of plant and equipment		X	X
Proceeds from disposal of financial instruments		X	X
Trading Activities			
Receipts from trading activities		X	X
Other receipts	4	X	X
Total receipts		**X**	**X**
(in thousands of currency units)	Note	**200X**	**200X-1**
		Receipts/(Payments)	**Receipts/(Payments)**
PAYMENTS			
Operations			
Wages, salaries, and employee		(X)	(X)
benefits			
Supplies and consumables		(X)	(X)
Transfers			
Grants		(X)	(X)
Other transfer payments		(X)	(X)
Capital Payments			
Purchase/construction of plant		(X)	(X)
and equipment			
Purchase of financial instruments		(X)	(X)
Loan and Interest Repayments			
Repayment of borrowings		(X)	(X)
Interest payments		(X)	(X)
Other payments	5	**(X)**	**(X)**
Total payments		**X**	**X**
Increase/(Decrease)Cash		**X**	**X**
Cash beginning of the year	2	**X**	**X**
Increase/(Decrease)Cash		**X**	**X**
Cash at end of year	2	**X**	**X**

STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNT

For Government A for the Year Ended 31 Ashar 200X Budget Approved on the Cash Basis

(Classification of Payments by Functions)

(in thousands of currency units)

	Actual Amounts	Final Budget	Original Budget	*Difference: Final Budget and Actual
CASH INFLOWS				
Taxation	X	X	X	X
Grants and Aid agreements	X	X	X	X
Proceeds: borrowing	X	X	X	X
Proceeds: disposal of plant and equipment	X	X	X	X
Proceeds: disposal of financial instruments	X	X	X	X
Trading activities	X	X	X	X
Other receipts	X	X	X	X
Total receipts	**X**	**X**	**X**	**X**
CASH OUTFLOWS				
Health	(X)	(X)	(X)	(X)
Education	(X)	(X)	(X)	(X)
Public order/safety	(X)	(X)	(X)	(X)
Social protection	(X)	(X)	(X)	(X)
Defense	(X)	(X)	(X)	(X)
Housing and community amenities	(X)	(X)	(X)	(X)
Recreational, cultural, and religion	(X)	(X)	(X)	(X)
Economic affairs	(X)	(X)	(X)	(X)
Environmental Protection	(X)	(X)	(X)	(X)
General Public Services	(X)	(X)	(X)	(X)
Total payments	**(X)**	**(X)**	**(X)**	**(X)**
NET CASH FLOWS	**X**	**X**	**X**	**X**

**The "Difference…" column is not required. However, a comparison between actual and the original or the final budget, clearly identified as appropriate, may be included.*

Additional financial statements (optional)

Additional financial statements may be prepared to provide details of amounts included in the statement of cash receipts and payments: for example, to disclose information by major fund groups or to disclose expenditures by major functions or programs, or to provide details of sources of borrowings. Columns disclosing budgeted amounts may also be included.

Statement of cash receipts by fund classification

(in thousands of currency units)	200X	200X-1
	Receipts	Receipts
RECEIPTS		
Consolidated Funds	X	X
Special Funds	X	X

Trading Funds	X	X
Loans	X	X
Total receipts	XX	XX

Proceeds of borrowings

(in thousands of currency units)	200x	200x-1
	Cash Receipts	Cash Receipts
BORROWINGS Domestic Commercial Institution Offshore Commercial Institution Development Banks and Similar Lending Agencies	XXX	XXX
Total borrowings	xxx	xxx

Statement of payments by programs/activities/function of government

(in thousands of currency units)	200X	200X-1
	Payments	Payments
PAYMENTS – Operating Account		
Education	X	X
Health	X	X
Social Protection	X	X
Defense	X	X
Public Order and Safety	X	X
(in thousands of currency units)	200X	200X-1
	Payments	Payments
Recreation, Culture, and Religion	X	X
Economic Affairs	X	X
Environment Protection	X	X
General Public Services	X	X
Total payments	X	X
PAYMENTS – Capital Account		
Education	X	X
Health	X	X
Social Protection and Welfare	X	X
Defense	X	X
Public Order and Safety	X	X
Recreation, Culture and Religion	X	X
Environment Protection	X	X
General Public Services	X	X
Total payments	X	X
Total Operating and Capital Accounts	X	X

Notes to the Financial Statements

Accounting Policies Basis of preparation

The financial statements have been prepared following Cash Basis NPSAS *Financial Reporting Under The Cash Basis of Accounting. NPSAS complies with Cash Basis International Public Sector Accounting Standard (IPSAS) developed and issued by the International Federation of Accountants (IFAC).*

The accounting policies have been applied consistently throughout the period.

Reporting entity

The financial statements are for the Government of Nepal (GoN)/Commissions/Ministries/ Secretariat/Department/Office. The financial statements encompass the reporting entity as specified in the relevant legislation (Public Finance Act 20XX). Government activities include the provision of health, education, defense, social protection, housing, recreational and cultural and general public services, and economic management to, and on behalf of, constituents. [Identity level of government, jurisdiction, and nature of services provided.]

This comprises:

- central government ministries; and
- government entities.

The consolidated financial statements include all public entities controlled during the year. Autonomous bodies and entities are not covered under these financial statements as they are separate reporting entities under various acts of parliament (as per NPAS para 1.6.12). However, a list of significant controlled entities is shown in Note 7 to the financial statements.

Payments by Third Parties

The government also benefits from goods and services purchased on its behalf as a result of cash payments made by third parties during the period by way of grants, subsidies, and contributions. The payments made by the third parties do not constitute cash receipts or payments by the government but do benefit the government. They are disclosed in the Payments by third parties in the Consolidated Statement of Cash Receipts and Payments and other financial statements. Loan Amount directly paid by funding agencies on behalf of GoN is also included in the Payment by third parties as such loan amounts are to be accounted under Internal and external borrowings in the financial statements.

Presentation currency

The presentation currency is in Nepalese Rupees - Rs. (the currency of Nepal). Financial statements for projects financed under external loans/grants are separately reported showing currencies of finance.

Cash

Cash comprises cash on hand, demand deposits, and cash equivalents. Demand deposits and cash equivalents consist of balances with banks and investments in short-term money market instruments. However, to date, GoN is not holding any kind of financial instruments other than investments.

Cash included in the statement of cash receipts and payments comprise the following amounts:

(in Rs.)

In thousands of currency units	20XX	20XX
Cash on hand and balance with banks	X	X
Short-term investments	X	X

Included in the amount stated above are X currency units provided by the International Agency XX that is restricted to the public services/constructions.

Borrowings

Borrowings comprise cash inflows from banks, similar commercial institutions and development banks, and similar aid agencies.

Trading Activities and Other Receipts

In trading activities, Sales & Rent of Government Property & Services includes income from the forest sector, collection of royalties from commercial uses of public properties, lease and rent from government properties, and other public services. Included in other receipts are fees, fines, penalties, and miscellaneous receipts.
Other Operating Expenditure

Included in other payments are dividends, distributions paid, legal settlements of lawsuits, and miscellaneous payments.

Undrawn Borrowing Facilities

(in thousands of currency units)	200X	200X-1
Movement in Undrawn Borrowing Facilities		
Undrawn borrowing facilities at 1.1.0X		
Additional loan facility		
Total available		
Amount drawn		
Facility closure/cancellations		
Undrawn borrowing facilities at 31.12.0X.	X	X
Undrawn Borrowing Facilities		
Commercial Financial Institutions		
Development Banks and similar organizations		
Total undrawn borrowing facilities		

Undrawn borrowing facilities include an amount of XX from Multilateral Development Bank A and YY from Multilateral Development Bank B which is stipulated for use for social infrastructure development or public construction. The details of the restrictions are (specify details).
Significant Entities

Entity 200X	Entity 200X-1
Entity A	Entity A
Entity B	Entity B
Entity C	Entity C
Entity D	Entity D

Authorization Date

The financial statement was authorized for publication on XX Month 20XX by the Financial Comptroller General, the Treasurer of GoN.
Original and Final Approved Budget and Comparison of Actual and Budget amounts

The approved budget is developed on the same accounting basis (cash basis), same classification basis, and for the same period (from 1 Shrawan 20XX to end of Ashad 20XX+1) as for the financial statements (N.A)

The original budget was approved by legislative action on (date) and a supplemental appropriation of XXX for (non-budgeted activities) support was approved by legislative action on (date) due to (expenses on non-budgeted activities). The original budget objectives and policies, and subsequent revisions are explained more fully in the Operational Review and Budget Out-turn Report issued in conjunction with the financial statements.

The excess of actual expenditure over the final budget of --% (---% over original budget) for the (like Health & Education) function was due to expenditures above the level approved

by legislative action in response to the (non-budgeted activities like earthquake/Flood). There were no other material differences.

Donations Grants and other Aid Payments by Third Parties

All payments made by third parties are made by third parties which are not part of the economic entity.
External Assistance

External assistance was received in the form of loans and grants from multilateral and bilateral donor agencies under agreements specifying the purposes for which the assistance will be utilized. The following amounts are presented in the presentation currency of the entity.

	200X Total	**20X1 Total**
Loan Funds		
Multilateral Agencies	X	X
Bilateral Agencies	X	X
Total	**X**	**X**
Grant Funds		
Multilateral Agencies	X	X
Bilateral Agencies	X	X
Total	**X**	**X**
Total External Assistance	**X**	**X**

Non Compliance with significant terms and conditions and rescheduled and canceled debt

There have been no instances of noncompliance with terms and conditions which have resulted in the cancellation of external assistance loans.

(If any is recorded as canceled during the reporting period it should be explained in this para and the amount should quantify both in Rs. and financed currencies)

External assistance grants of X domestic currency units were canceled during the reporting period. The cancellation resulted from the overestimation of the cost of specified development projects and consequentially expenditure of an amount less than that committed for the period by the donor entity.

Undrawn External Assistance

Undrawn external assistance loans and grants at the reporting date are amounts specified in a binding agreement that relate to funding for projects currently under development, where conditions have been satisfied, and their ongoing satisfaction is highly likely, and the project is anticipated to continue to completion.

	200X		**20X1**	
	Loan	**Grant**	**Loan**	**Grant**
Closing balance in presentation currency	x	x	x	x

The significant terms and conditions that determine or affect access to the amount of undrawn assistance related to the achievement of the following specified construction targets for the development of medical and education infrastructure: (Entity to identify significant construction targets)

Past Questions

1. Explain the objectives of public financial management. Discuss NPSAS in context of government accounting.

   (ICAN June 2022 8 Marks)

   It is generally accepted that a public financial management (PFM) system should achieve three objectives, to which we here add a fourth, the promotion of accountability and transparency. In order to assess a public financial management (PFM) system, we first need to define its objectives, the final outcomes, by which performance can be measured. For the due process of operation of all the reform activities, to adopt and to internalize the best practices international standards as per our requirements and to mobilize the assistance and supports of the Development Partners in this field, Public Financial Management has following objectives:

- The maintenance of aggregate fiscal discipline is the first objective of a PFM system: it should ensure that aggregate levels of tax collection and public spending are consistent with targets for the fiscal deficit, and do not generate unsustainable levels of public borrowing.
- Secondly, a PFM system should ensure that public resources are allocated to agreed strategic priorities – in other words, that allocative efficiency is achieved.
- Thirdly, the PFM system should ensure that operational efficiency is achieved, in the sense of achieving maximum value for money in the delivery of services.
- Finally, the PFM system should follow due process and should be seen to do so, by being transparent, with information publicly accessible, and by applying democratic checks and balances to ensure accountability.
  Nepal Public Sector Accounting Standards (NPSAS) in context of government accounting. The Accounting Standards Board, Public Sector Committee (the committee) develops accounting standards for public sector entities referred to Nepal Public Sector Accounting Standards (NPSAS) in Nepal. Nepal Public Sector Accounting Standards (NPSAS) have been developed in line with International Public Sector Accounting Standards (IPSAS). Such Standards establishes guidelines and standardize the financial reporting of Public Sector Entities in Nepal, resulting into the improvement of both quality and Comparability of the financial reporting. The Accounting Standards Board, Public Sector Committee has developed and issued Nepal Public Sector Accounting Standard: Financial reporting under the cash basis of accounting which becomes effective for annual financial statements covering period beginning on or after 1 January 2009. Adoption of this standard by the Government of Nepal (GoN) will improve both the quality and comparability of financial information reported by public sector entities in Nepal The standard comprise two parts:
  Part 1 is mandatory: It sets out the requirements which are applicable to all entities preparing general purpose financial statements under the cash basis of accounting. It defines the cash basis of accounting, establishes requirements for the disclosure of information in the financial statements and supporting notes, and deals with a number of specific reporting issues. The requirements in this part of the standard must be complied with by entities which claim to be reporting in accordance with the Nepal Public Sector Accounting Standard Financial Reporting under the Cash Basis of Accounting.
  Part 2 is non-mandatory: It defines additional accounting policies and disclosures that an entity is encouraged to adopt to enhance its financial accountability and the transparency of its financial statements. It includes explanations of alternative method for presenting certain information.

2. Write detailing about:
   a) Financial Comptroller General Office of Nepal
   b) Nepal Public Sector Accounting Standards
   (ICAN CAP III Dec 2024 8 Marks)

a) Financial Comptroller General Office:
   Financial Comptroller General Office (FCGO) is the main government agency responsible for the treasury operation of Government of Nepal. This office is under the Ministry of Finance and is headed by Financial Comptroller General who is a special class officer of Government of Nepal.

   The organizational set up of FCGO consists of 3 divisions and 15 sections. The field level offices under FCGO are spread all over 77 districts of the country. In each district there is a District Treasury Controller Office (DTCO) which is involved in releasing budgets to government offices, budgetary controls and reporting.

   FCGO is responsible for overseeing all government expenditure against budget, tracking revenue collection and other receipts and preparation of consolidated financial statements of the government. Its responsibility also includes ensuring maintenance of basic accounts keeping of the government through the accounting personnel and staff recruited and administered by it. Its functions also cover conducting of the internal audit of revenue and expenditure of the government. Other important responsibility of FCGO include ensure timely repayment of internal and external debts, investing in the loan and equity of public enterprises and maintaining the records related to these financial transactions. It also manages the distribution of pension to retired government employees and maintains necessary records thereof.

b) Nepal Public Sector Accounting Standards

Accounting Standards Board (ASB) is entrusted by the Government of Nepal with the responsibility to develop accounting standards for public sector. The ASB has developed Nepal Public Sector Accounting Standards (NPSAS) for Financial Reporting under Cash Basis of Accounting in line with the International Public Sector Accounting Standards prepared by International Public Sector Accounting Standards Board (IPSASB), an independent standard- setting body within the International Federation of Accountants (IFAC).

This Standard comprises two parts:

Part 1 is mandatory. It sets out the requirements which are applicable to all entities preparing general purpose financial statements under the cash basis of accounting. It defines the cash basis of accounting, establishes requirements for the disclosure of information in the financial statements and supporting notes, and deals with a number of specific reporting issues. The requirements in this part of the Standard must be complied with by entities which claim to be reporting in accordance with the Nepal Public Sector Accounting Standards Financial Reporting Under the Cash Basis of Accounting.

Part 2 is not mandatory. It identifies additional accounting policies and disclosures that an entity is encouraged to adopt to enhance its financial accountability and the transparency of its financial statements. It includes explanations of alternative methods for presenting certain information.

3. Strengthening Public Financial Management System is essential to improve overall financial system of the government', explain the statement.

(ICAN CAP III June 2024 8 Marks)

The PFM and budgetary policies of the Nepal Government during the Nineties were directed towards economic liberalization, privatization, poverty reduction and decentralization. Policies and programs of the budget were mainly concerned with agriculture, modernization, employment promotion, women’s empowerment, financial sector reform, government expenditure management, tax reform, good governance, social service and the development of basic and physical infrastructure. PFM system of Nepal, like most developing countries, continued to be dominated by the traditional objectives of control and accountability rather than a concern for allocating limited public sector resources to well defined programs and projects that were intended to serve a set of national objectives.

The extension of the budget coverage involved a combination of formal and informal incorporation of expenditure activities. The other formal extension involved the incorporation of foreign assistance programs, which were previously outside the budget. Planning the allocation of scarce resources was not given due priority. The pattern of government expenditure followed more or less the uniform course till the 1990’s. Public expenditure and revenue both increased; but the expenditure increase trend was greater than the revenue. The inadequate mobilization of domestic resources through government revenue resulted in a serious problem of widening resource gap in Nepal. Foreign aid was the main source of development financing and deficit financing continued to increase. Planning, budgeting, and implementation had inherent problems such as lack of capacity, co-ordination and monitoring. In spite of a number of initiatives taken, one of the main problems of Nepal has been the lack of proper domestic resource mobilization.

Several factors have contributed in varying degrees to the lack of effectiveness of public spending in Nepal. The institutional factors played major role in the over-programming (having too many programs in scarce resources) of the budget, its lack of focus and prioritization and implementation problems. The lacks of ownership of projects/ programs at various levels and the absence of accountability, also undermined the quality and effectiveness of public spending.

Managing the national budget became increasingly difficult for Nepal Government to further their objectives of poverty alleviation.

Public Expenditure Management is one of the key activities of any government in the world. There is a growing concern to make PFM system predictable, transparent and accountable anywhere in the world. PFM in general incorporates a credible planning system, management of government revenues, budget execution, expenditure management, debt management, reimbursement, procurement and other important aspects of financial management such as accounting, recording, financial reporting and auditing and external scrutiny of the financial transactions.

Improving governance and enhancing accountability are considered as the critical agenda of the Government of Nepal (GoN) in the endeavor of institutionalizing good governance practices in the country.

Hence, strengthening Public Financial Management has been accepted as one of the key elements of the GoN's strategy for improving the overall governance, optimizing outputs from public resources and ensuring inclusive and broad-based development. Poor planning, ever increasing indiscipline in budget execution, ineffective expenditure control and lack of transparency mainly in public procurement pose significant fiduciary risks to almost all development projects both at center and local level.

The GoN's recent initiatives such as Financial Administration Reform Program, Strengthening PFM Project, Government Financial Statistics (GFS) based new codes and classification of revenues and expenditures, implementation of Treasury Single Account (TSA) system, strategy to implement International Accounting and Reporting Standards (NAPSAS), Public Expenditure and Financial Accountability (PEFA) initiative and other capacity building programs for PFM have resulted some positive impacts in strengthening PFM system in general and financial good governance in particular in Nepal.

4. *Define Public Financial Management (PFM) system. Explain the problems of the PFM and budgetary policies of Nineties in Nepal and state some initiatives taken by the Government of Nepal to improve overall financial system of the government.*
(ICAN CAP III December 2020 7 Marks)

Public Financial Management (PFM) in general incorporates the management of government revenue, budget, expenditure, deposit, debt, reimbursement, procurement and other important aspects of financial management such as accounting, recording and reporting. It also includes internal control, final auditing and external scrutiny of the financial transactions. Hence, strengthening Treasury System, Financial Monitoring and Capacity Building are most critical elements of a sound public financial management practices. The overarching goal of a PFM system is to improve efficiency of fiscal operations and enhance government accountability and transparency as well as to improve expenditure control and monitoring. The PFM system contributes to reduce fiduciary risk of the government expenditure. A sound and predictable PFM system not only attracts foreign resources from development partners but also ensures effective utilization of such resources and establishes transparency and accountability of public funds. Similarly, an effective PFM system also contributes to channelize all resources and funds through the national system.

The PFM and budgetary policies of the Nepal Government during the Nineties were directed towards economic liberalization, privatization, poverty reduction and decentralization. Policies and programs of the budget were mainly concerned with agriculture modernization, employment promotion, women's empowerment, financial sector reform, government expenditure management, tax reform, good governance, social service and the development of basic and physical infrastructure. PFM system of Nepal, like most developing countries, continued to be dominated by the traditional objectives of control and accountability rather than a concern for allocating limited public sector resources to well defined programs and projects that were intended to serve a set of national objectives.

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Several factors have contributed in varying degrees to the lack of effectiveness of public spending in Nepal. The institutional factors played major role in the over-programming (having too many programs in scarce resources) of the budget, its lack of focus and prioritization and implementation problems. The lacks of ownership of projects/ programs at various levels and the absence of accountability, also undermined the quality and effectiveness of public spending. Managing the national budget became increasingly difficult for Nepal Government to further their objectives of poverty alleviation.

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5. *Elaborate the main achievements of 'Public Financial Management Reform Program' in Nepal.*
(CAP III December 2021 8 Marks)

There has been considerable progress in recent years. The second PEFA assessment shows improvement across several indicators. Results of these upgrades on many PFM areas can be attributed to the first generation of PFM reforms lead by the Government of Nepal (GoN) on budget credibility, tax policy, Treasury Single Account (TSA), financial management information system (FMIS) improvements, external audit and public procurement system. This is a result of collaborative efforts from various donors who are working in this field with a common objective of improving country capacity, improving PFM performance as measured by PEFA indicators with an aim to achieve results on the ground through effective use of resources.

GoN has been working closely with Development Partners (DPs) in the design and implementation of Public Financial Management (PFM) reform initiatives at the country and sector level. The components and the activities of SPFM I has been continued in the follow-on project with additional component regarding enhancing and sustaining the TSA system and replacement of treasury infrastructure at earthquake affected districts. So, some of the reform activities which are included in the second phase of PFM reform action plans are already in place in the SPFM.

Under the SPFM-I project, TSA has been rolled out across all 75 districts of Nepal, meeting the output target one year ahead of schedule. As a result, the Government has been able to close 14,000 bank accounts. Now, TSA covers 100 percent of the budget throughout the country. Monthly budget execution reports are now available by its FMIS and posted real time data on the FCGO website, thereby, improving access and promoting transparency. After the success of this project, SPFM II project has been initiated. This project will provide support in upgrading the IT infrastructure for sustainability of the TSA system and enhance the financial management information system (FMIS) for revenue management. These activities are important to sustain the results obtained under the ongoing SPFM.

Through the SPFM project, commitment-recording module has also been rolled out in all 75 districts. RMIS has now been implemented in 15 districts this FY after its successful pilots in three large revenue receiving districts (Kathmandu, Lalitpur and Bhaktapur). Therefore, the government has online, real-time access to 90% of the revenue collections in these districts as compared to the 45% coverage in 3 districts before this reform took place.

There are ongoing efforts to improve the content, quality, comprehensiveness and timeliness of financial reporting. Two pilots of NPSAS-compliant financial statements have been completed at the Ministry of Physical Infrastructure and Transport and the Ministry of Women, Children, and Social Welfare. These NPSAS-based financial reports received certification by the International Consortium of Government Financial Management (ICGFM). Additional 14 line ministries' personnel have been trained to prepare NPSAS-based consolidated financial statements in this fiscal year

2015/16. Fourteen central level entities have been able to prepare NPSAS-compliant financial statements and submitted to OAG for audit purpose for fiscal year 2014/15. The FCGO is planning on rolling out NPSAS in the rest of the ministries in the coming fiscal year

The Office of the Auditor General (OAG), under the Strengthening the Office of the Auditor General (SOAG) Project, has completed six ISSAI-compliant performance audits within areas like health, local government, and water and sanitation. The end-of-project target for the number of in- depth performance audits to be reported to Parliament has already been achieved. OAG has also enhanced public participation in the performance audit process. The Auditor General is keen to increase the coverage and improve the quality of performance audits and initiatives of risk based audit.

Line ministry budget information system (LMBIS) is one of the milestones of the online program budget submission which has created direct link between line ministries' program budget formulation and implementation with cooperation and coordination with MoF/NPC. This system is interlinked and interfaced with the BMIS of the MoF. Achievements on reforms of tax and customs through massive utilization of IT system wherein, application of PAN numbers to all the taxpayers, self-assessment of tax, on-line submission of tax reports, automation in customs and collaborative efforts from various donors who are working in this field with a common objective of improving country capacity, improving PFM performance as measured by PEFA indicators with an aim to achieve results on the ground through effective use of resources.

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Finally, there has been good progress in strengthening the institutional structure guiding the reforms. Program results and reports are being uploaded and disseminated through a Program website, which also became fully operational in the same month. The PEFA Secretariat’s website has also been launched and is another channel for program results and reports.

6. *Explain Public Financial Management System. Nepal Public Sector Accounting Standard states "All comparisons of budget and actual amount shall be presented on a comparable basis to the budget". Explain the detail provisions of above standard for comparison of budget and actual amount.*

(ICAN CAP III June 2021 7 Marks)

Public Financial Management System refers to the set of laws, rules, systems and processes used by sovereign nations (and sub-national governments), to mobilize revenue, allocate public funds, undertake public spending, account for funds and audit results. It encompasses a broader set of functions than financial management and is commonly conceived as a cycle of six phases, beginning with policy design, budget formulation, budget approval, budget execution, accounting and ending with external audit and evaluation. A large number of actors engage in this “PFM cycle” to ensure it operates effectively and transparently, whilst preserving accountability.

Clause 1.9.25 to 1.9.30 of Nepal Public Sector Accounting Standard issued by Accounting Standard Board of Nepal deals with the comparable basis for comparison of budget and the actual amount. The content of above standard are given below:

1.9.25 All comparisons of budget and actual amounts shall be presented on a comparable basis to the budget.

1.9.26 The comparison of budget and actual amounts will be presented on the same accounting basis (accrual, cash or other basis), same classification basis and for the same entities and period as for the approved budget. This will ensure that the disclosure of information about compliance with the budget in the financial statements is on the same basis as the budget itself. In some cases, this may mean presenting a budget and actual comparison on a different basis of accounting, for a different group of activities, and with a different presentation or classification format than that adopted for the financial statements.

1.9.27 Financial statements consolidate entities and activities controlled by the entity.

As noted in paragraph 1.9.10, separate budgets may be approved and made publicly available for individual entities or particular activities that make up the consolidated financial statements. Where this occurs, the separate budgets may be recompiled for presentation in the financial statements in accordance with the requirements of this Standard. Where such recompilation occurs, it will not involve changes or revisions to approved budgets. This is because this Standard requires a comparison of actual amounts with the approved budget amounts.

1.9.28 Entities may adopt different bases of accounting for the preparation of their financial statements and for their approved budgets. For example, in some, cases a government or government agency may adopt the cash basis for its financial statements and the accrual basis for its budget. In addition, budgets may focus on, or include information about, commitments to expend funds in the future and changes in those commitments, while the financial statements will report cash receipts and payments and balances thereof. However, the budget entity and financial reporting entity will often be the same. Similarly, the period for which the budget is prepared and the classification basis adopted for the budget will often be reflected in financial statements. This will ensure that the accounting system records and reports financial information in a manner which facilitates the comparison of budget and actual data for management and for accountability purposes - for example, for monitoring progress of execution of the budget during the budget period and for reporting to the government, the public and other users on a relevant and timely basis.

1.9.29 In some cases, budgets may be prepared on a cash or accrual basis consistent with a statistical reporting system that encompasses entities and activities different from those included in the financial statements. For example, budgets prepared to comply with a statistical reporting system may focus on the general government sector and encompass only entities fulfilling the "primary" or "nonmarket" functions of government as their major activity, while financial statements report on all activities controlled by a government, including the business activities of the government.

1.9.30 In statistical reporting models, the general government sector may comprise national, state/provincial and local government levels. Sometimes, the national government may control state/provincial and local governments, consolidate those governments in its financial statements and develop, and require to be made publicly available, an approved budget that encompasses all three levels of government. In these cases, the requirements of this Standard will apply to the financial statements of those national governmental entities. However, where a national government does not control state or local governments, its financial statement will not consolidate state/provincial or local governments. Rather, separate financial statements are prepared for each level of government. The requirements of this Standard will only apply to the financial statements of governmental entities when approved budgets for the entities and activities they control, or subsections thereof, are made publicly available.

7. *What are the pillars of Public Expenditure and Financial Accountability (PEFA) and how does its assessment help in strengthening Public Finance Management (PFM) system of a country?*

(ICAN December 2019 7 Marks)

PEFA Pillars

PEFA identifies seven pillars of performance in an open and orderly PFM system that are essential to achieving desired fiscal and budgeting outcomes. The pillars are as follows:

(i) Budget reliability

(ii) Transparency of public finance

(iii) Management of assets and liabilities

(iv) Policy based fiscal strategy and budgeting

(v) predictability and control in budget execution

(vi) Accounting and reporting

(vii) External scrutiny and audit

Within these 7 broad areas marked by these pillars, PEFA defines 31 specific indicators that focus on key measurable aspects of the PFM system. PEFA uses the results of the individual indicator calculations, which are based on available evidence, to provide an integrated assessment of PFM system against the 7 pillars of PFM performance. It then assesses the likely impact of PFM performance levels on the three desired budgetary outcomes, viz, aggregate fiscal discipline, strategic allocation of resources and efficient service delivery.

8. State the provisions related to foreign currency as per Nepal Public Sector Accounting Standards ***(ICAN CAP III December 2023 8 Marks)***

Provision relating to foreign currency as per NPSAS:

i) Cash receipts and payments arising from transactions in a foreign currency should be record- ed in an entity's reporting currency by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the receipts and payments.

ii) Cash balances held in a foreign currency should be reported using the closing rate.

iii) The cash receipts and cash payments of a foreign controlled entity should be translated at the exchange rates between the reporting currency and the foreign currency at the dates of the receipts and payments.

iv) An entity should disclose the amount of exchange differences included as reconciling items between opening and closing cash balances for the period.

v) When the reporting currency is different from the currency of the country in which the entity is domiciled, the reason for using a different currency should be disclosed. The reason for any change in the reporting currency should also be disclosed.

vi) Governments and government entities may have transactions in foreign currencies such as borrowing an amount of foreign currency or purchasing goods and services where the pur- chase price is designated as a foreign currency amount. They may also have foreign opera- tions and transfer cash to and receive cash from those foreign operations. In order to include foreign currency transactions and foreign operations in financial statements the entity must express cash receipts, payments and balances in reporting currency terms.

vii) Unrealized gains and losses arising from changes in foreign currency exchange rates are not cash receipts and payments. However, the effect of exchange rate changes on cash held in a foreign currency is reported in the statement of cash receipts and payments in order to rec- oncile cash at the beginning and the end of the period. This amount is presented separately from cash receipts and payments and includes the differences, if any, had those cash receipts payments and balances been reported at end-of-period exchange rates.

9. Paragraph 1.3.32 of Part 1 of Nepal Public Sector Accounting Standards requires that the financial statements provide information that meets a number of qualitative characteristics. Appendix 4 of the standard summarizes the qualitative characteristics of financial reporting. Explain the four principal qualitative characteristics of financial reporting

(ICAN CAP III June 2023 8 Marks)

The four principal qualitative characteristics are understandability, relevance, reliability and comparability.

a) Understandability

Information is understandable when users might reasonably be expected to comprehend its meaning. For this purpose, users are assumed to have a reasonable knowledge of the entity's activities and the environment in which it operates, and to be willing to study the information. Information about complex matters should not be excluded from the financial statements merely on the grounds that it may be too difficult for certain users to understand.

b) Relevance

Information is relevant to users if it can be used to assist in evaluating past, present or future events or in confirming, or correcting, past evaluations. In order to be relevant, information must also be timely.

Materiality

The relevance of information is affected by its nature and materiality. Information is material if its omission or misstatement could influence the decisions of users or assessments made on the basis of the financial statement. Materiality depends o n the nature or size of the item or error judged in the particular circumstances of its omission or misstatement. Thus, materiality provides a threshold or cut-off point rather than being a primary qualitative characteristic which information must have if it is to be useful.

c) Reliability

Reliable information is free from material error and bias, and can be depended on by users to represent faithfully that which it purports to represent or could reasonably be expected to represent.

Faithful Representation

For information to represent faithfully transactions and other events, it should be presented in accordance with the substance of the transactions and other events, and not merely their legal form.

Substance Over Form

If information is to represent faithfully the transactions and other events that it purports to represent, it is necessary that they are accounted for and presented in accordance with their substance and economic reality and not merely their legal form. The substance of transactions or other events is not always consistent with their legal form.

Neutrality

Information is neutral if it is free from bias. Financial statements are not neutral if the information they contain has been selected or presented in a manner designed to influence the making of a decision or judgment in order to achieve a predetermined result or outcome.

Prudence

Prudence is the inclusion of a degree of caution in the exercise of the judgments needed in making the estimates required under conditions of uncertainty, such that assets or revenue are not overstated and liabilities or expenses are not understated.

Completeness

The information in financial statements should be complete within the bounds of materiality and cost.

d) Comparability

Information in financial statements is comparable when users are able to identify similarities and differences between that information and information in other reports.

Comparability applies to the: comparison of financial statements of different entities; and comparison of the financial statements of the same entity over periods of time.

An important implication of the characteristic of comparability is that users need to be informed of the policies employed in the preparation of financial statements, changes to those policies and the effects of those changes.

Because users wish to compare the performance of an entity over time, it is important that the financial statements show corresponding information for preceding periods.

10. 'Nepal Public Sector Accounting Standard' states "All comparisons of budget and actual amount shall be presented on a comparable basis to the budget". Explain the detail provisions of above standard for comparison of budget and actual amount.
(ICAN CAP III December 2022 8 Marks)

Clause 1.9.25 to 1.9.30 of Nepal Public Sector Accounting Standard issued by Accounting Standard Board of Nepal deals with the comparable basis for comparison of budget and the actual amount. The content of above standard are given below:

1.9.25 All comparisons of budget and actual amounts shall be presented on a comparable basis to the budget.

1.9.26 The comparison of budget and actual amounts will be presented on the same accounting basis (accrual, cash or other basis), same classification basis and for the same entities and period as for the approved budget. This will ensure that the disclosure of information about compliance with the budget in the financial statements is on the same basis as the budget itself. In some cases, this may mean presenting a budget and actual comparison on a different basis of accounting, for a different group of activities, and with a different presentation or classification format than that adopted for the financial statements.

1.9.27 Financial statements consolidate entities and activities controlled by the entity. As noted in paragraph 1.9.10, separate budgets may be approved and made publicly available for individual entities or particular activities that make up the consolidated financial statements. Where this occurs, the separate budgets may be recompiled for presentation in the financial statements in accordance with the requirements of this Standard. Where such recompilation occurs, it will not involve changes or revisions to approved budgets. This is because this Standard requires a comparison of actual amounts with the approved budget amounts.

1.9.28 Entities may adopt different bases of accounting for the preparation of their financial statements and for their approved budgets. For example, in some, cases a government or government agency may adopt the cash basis for its financial statements and the accrual basis for its budget. In addition, budgets may focus on, or include information about, commitments to expend funds in the future and changes in those commitments, while the financial statements will report cash receipts and payments and balances thereof. However, the budget entity and financial reporting entity will often be the same. Similarly, the period for which the budget is prepared and the classification basis adopted for the budget will often be reflected in financial statements. This will ensure that the accounting system records and reports financial information in a manner which facilitates the comparison of budget and actual data for management and for accountability purposes - for example, for monitoring progress of execution of the budget during the budget period and for reporting to the government, the public and other users on a relevant and timely basis.

1.9.29 In some cases, budgets may be prepared on a cash or accrual basis consistent with a statistical reporting system that encompasses entities and activities different from those included in the financial statements. For example, budgets prepared to comply with a statistical reporting system may focus on the general government sector and encompass only entities fulfilling the "primary" or "non-market" functions of government as their major activity, while financial statements report on all activities controlled by a government, including the business activities of the government.

1.9.30 In statistical reporting models, the general government sector may comprise national, state/provincial and local government levels. Sometimes, the national government may control state/provincial and local governments, consolidate those governments in its financial statements and develop, and require to be made publicly available, an approved budget that encompasses all three levels of government. In these cases, the requirements of this Standard will apply to the financial statements of those national governmental entities. However, where a national government does not control state or local governments, its financial statement will not consolidate state/provincial or local governments. Rather, separate financial statements are prepared for each level of government. The requirements of this Standard will only apply to the financial statements of governmental entities when approved budgets for the entities and activities they control, or subsections thereof, are made publicly available.